

FMN Plc Equity Research Report

Gifted Analysts Academy

Date: 25th of April, 2022



THE HOME OF GOOD FOOD IS MOVING BEYOND LEVELS

Investment Summary:

Solid operating performance amid unprecedented disruption:

Despite the economic recession in Q2 and Q3 of 2020 of -6.10% and -3.62%, respectively, Flour Mill of Nigeria Plc (FMN Plc) grew its revenue significantly by 34.48% y/y to N771.6 billion in the fiscal year-end, March 2021 (FY-2021). Amidst this blistering topline growth which was majorly driven by improved volume that complemented continued local demand for food products, agro-allied, and sugar, FMN Plc reported an impressive net margin of 3.33% with a 126.05% y/y growth in net profit (N25 billion) in FY-2021 (N11 billion in FY-2020). This shows the resilience of the firm to withstand economic shock and maximize value creation for its stakeholders. Dividend pay-out was maintained at 50.79% on average with a dividend coverage capacity of 3.13x from FY-2017 to FY-2021. We believe the firm's agro-allied strategy and local content investment, and a consumer-driven cheap-staple-food market which we consider to be largely under-tapped when compared to peers will continue to spur growth and enhance shareholder's return.

Diversified Investment Portfolio over 60 years of operation:

Flour Mill of Nigeria Plc is one of the leading FMCG and a top market player in the flour-based product market. It is the first company to have constructed Nigeria's first wheat mill plant. With 60 years of success celebration, the firm has been able to diversify its core business of food through backward integration into other three revenue-generating segments which include Agro-allied, Sugar, and support services. Growth in these three classes of revenue has been impressive at a CAGR of 23.58% over the past five years. These three segments reported total revenue of N293 billion (or 38.01% of total revenue) in FY-2021 compared to the N102 billion (or 19.4% of total revenue) in FY-2017. The firm's ability to expand its portfolio size with an explosive growth of this 23.58% CAGR validates its capacity to provide long-term value creation to shareholders while pursuing a de-risk business opportunity.

Trusted Iconic Brand with Brilliant Integration Strategy and Digital Transformation:

Golden Penny brand has stayed in the heart of many Nigerians for many years. In 2019, the firm won the Standard Organization of Nigeria (SON) high-performance award and certification. The firm constantly "produces healthy, nutritious, and great-tasting food for the families" and has expanded its geographical footprints across many states in Nigeria. This allows it to expand its customer base, accelerate its solid market share, and ensure the utmost channel of penetration. To meet up with the industry's growth level, FMN Plc developed an operating model that prioritizes innovation and digital transformation. FMN prides itself on the largest food and agro-allied business in Nigeria. It has recently, through a horizontal integration strategy, acquired a close competitor, Honey Well Plc to increase its market share to c.42%. With this positive market competitive positioning, we are optimistic that FMN Plc will maximize shareholders' returns.

Analyst

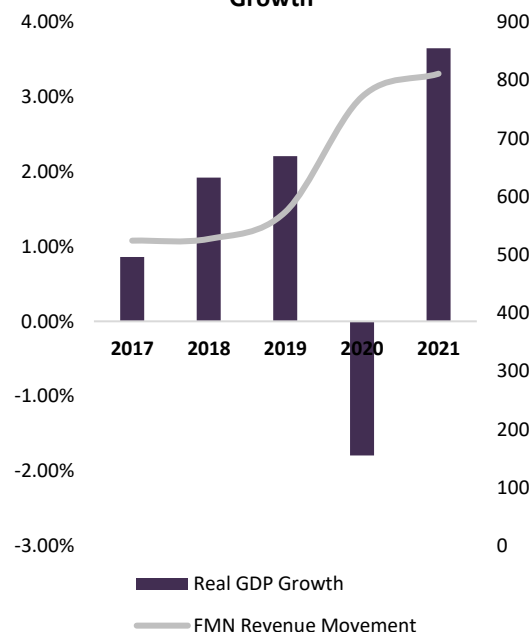
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RECOMMENDATION	#	BUY
TARGET PRICE	N	51.72
UPSIDE	%	66.56%
TICKER	#	FLOURMILL
Exchange	#	NGX
53 WEEKS HIGH	N	35.10
52 WEEKS LOW	N	28.00
10 Year High	N	75.20
10 Year Low	N	13.50
INDUSTRY	#	FOOD/FMCG
SHARE PRICE	N	31.05
SHARE OUTSTANDING	Mn	4.1
MARKET CAP.	N'bn	127

Fig 1: GDP Growth and FMN Revenue Growth



Source: FMN Annual Report, NBS

Flour Mills of Nigeria Plc									
Financial Analysis		2020A	2021A	2022E	2023E	2024E	2025E	2026E	CAGR
Revenue	(N'bn)	573,774	771,608	813,187	857,006	903,187	951,856	1,003,148	5.39%
Revenue Growth	%	8.79%	34.48%	5.14%	5.26%	5.39%	5.52%	5.65%	
EBITDA	(N'bn)	55,827	72,454	88,449	91,900	93,931	99,165	104,443	3.38%
EBITDA Margin	%	9.73%	9.39%	10.88%	10.72%	10.40%	10.42%	10.41%	
Profit After Tax	(N'bn)	11,377	25,717	13,630	20,220	20,373	21,164	20,173	8.16%
Net Margin	%	1.98%	3.33%	1.68%	2.36%	2.26%	2.22%	2.01%	
Dividend Pay-out	%	41.05%	21.21%	81.66%	54.22%	60.89%	45.63%	46.55%	

Market Opportunities Under-penetrated:

With a population of more than 200 million (the most populous in Africa), we are positive about Flour Mill of Nigeria Plc's growth potential as current consumption is still low at 5 million metric tonnes per year when compared to other African and emerging market countries: EGYPT – 21 million, Algeria – 11.3 million, Morocco – 10.7 million and India – 104 million.

Major Highlights

- FMN, and Honney Well merge under N80 billion shares transfer deals to strengthen their competitive positioning as a top player in the industry.

- FMN Plc reported astonishing Profit Before Tax of N25bn in 9M and N9.8bn in Q3 – up 7% and 9% respectively. A huge 42% contribution from Agro-allied of N11bn to the group's total PBT on the back of improved volume and strategic allocation as revenue rose by 51% in Q3 and 49% in 9Ms of FY-2022.

BUSINESS DESCRIPTION

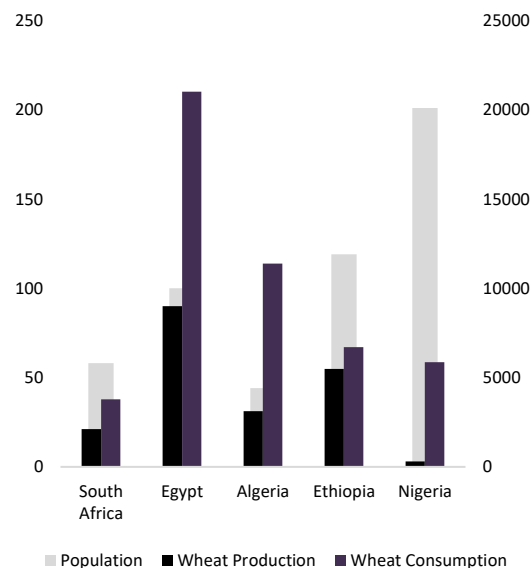
Flour Mills of Nigeria (FMN) Plc is a highly reputable and leading food processing and agro-allied business in Nigeria with incorporation traced back to 1960. It started operation in 1962 after its establishment priding the nation's first wheat mill plant. The firm is poised to be a key player in achieving Nigeria's goal of food self-sufficiency and it has massively invested in 17 modern classic manufacturing facilities since its establishment spanning through grain milling, edible oil and sugar refining, agro-inputs, and animal nutrition and proteins thereby expanding its group's operation across 12 states. Over the years, it has continually intensified its production capability and portfolio diversification competence of strong quality and affordable food products under its evocative brand of Golden Penny of flour, pasta, semolina, sugar, starch, oil, spreads, and breakfast cereals. FMN Plc also advanced excellently in support services by way of logistics and distribution, packaging, and port operations. The firm has also strategically stepped aboard through backward and forward integration to support its leading position in the market and maintain a positive competitive advantage.

Business Model

FMN Plc's business model operates under four business segments that enhance value creation and value addition of the firm to all its stakeholders viz Food, Agro-Allied, Sugar, and Support Services. The firm's business model has continuously expanded to enhance its winning strategy and meet the diverse needs of consumers and other stakeholders under four key pillars – (1) continuous product innovation and improvement, (2) product availability assurance, (3) creation of good consumer experience, and (4) strong supply chain support. This strategy impressively delivered a 34.48% growth in revenue with a strong net margin of 3.33% in FY- 2021 when compared to the 0.76% and 1.98% net margin in FY-2019 and FY-2020 respectively. As FMN Plc increased its geographical footprint across Nigeria, the firm demonstrated impressive revenue growth of 8.03% CAGR FY2017-FY2021 as revenue from the food segment captured 61.99% of the entire revenue on average with a mind-blowing 136.87% revenue growth from support service attributable to post-coivd19 economic expansion. This continued excellence in operating performance of the Food and support service segment printed an impressive net margin of 2.05% from FY-2017 to FY-2021. We forecast revenue to grow at 5.38% CAGR. We expect this to have a moderate impact on the bottom-line with an average net margin of 2.11%.

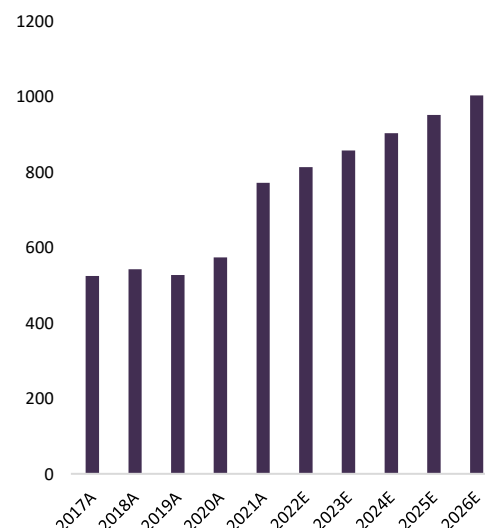
Food: The chief importance of FMN Plc Revenue is the food division. It has three sub-division (Pasta and Noodles, Ball Foods, and Flour) while the Golden Penny brand has successfully established its value in the heart of many Nigerians. This revenue segment contributes 66.01% to the group's total revenue between FY-2017 and FY-2021. It grew by 33.48% in FY-2021 after maintaining resilience against the 2020 pandemic-related shock printing N478 billion compared to N358 billion in FY-2020.

Fig 2: Wheat Production/Consumption and Population



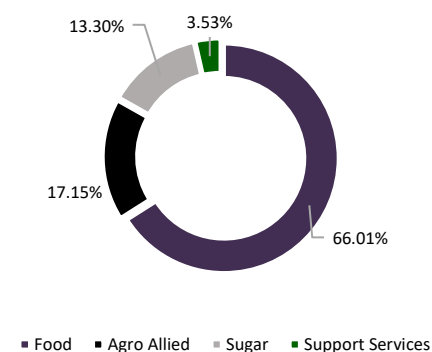
Source: FMN Annual Report

Fig 3: FMN Revenue Growth



Source: FMN Annual Report

Fig 4: Revenue Share By Segment FY-(2017-2021)



Source: FMN Annual Report

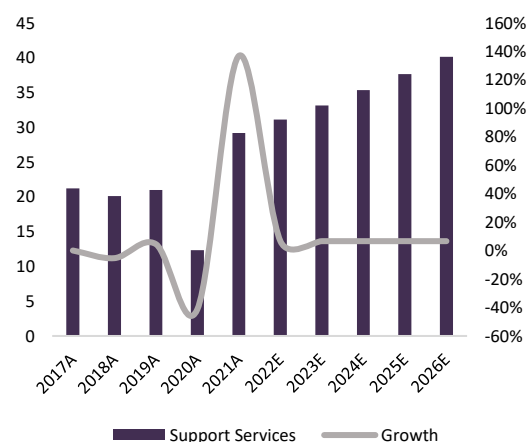
We attribute the key drivers of this growth to the routes to consumers investment that created new regional distribution centers as well as sales force automation in delivery services. Adding to this is the investment in marketing activities with a new advertisement method for the Golden Penny basket as well as a new packaging design for semovita which we believe increased the firm's consumer base. With the launch of the new product (Golding Penny Amazing Day), other products that are offered under the food segment are; Pasta and Noodles: Noodles, Sphagettini, Macaroni; Ball Foods: Semovita, Garri, Goldenvita, and Masavita; Flour: Prime Flour, Masa Flour, Whole Wheat Flour, Mai Kwabo Flour, Classic Flour, Easy Bake, etc. We forecast revenue for this segment to top N500 billion through the forecast period starting from the FY-2023 estimate growing at 2.50% CAGR. We expect this segment of revenue to contribute 57.05% of the total revenue throughout the forecast period as we envisaged interesting growth and a larger share in other segments of FMN Plc's revenue.

Agro-Allied: Agro-allied is the second largest segment of FMN Plc's revenue. It contributes an average of 17.15% to the group's total revenue with an impressive average growth rate of 15.43% between FY-2018 and FY-2021. The firm's investment in Real-Time Communication (RTC) infrastructure has been reported to be a key driver of this segment's growth. The Agro-Allied segment has five sub-division viz – Feeds and Proteins (Top feeds of Grower Mash, Broil Starter, Broiler Finisher, Layer Mash, etc.), Edible Oil and Fats (Margarine, Pure Vegetable Oil, Pure Soya Oil, and Golden Penny Spread), Starches (Garri, Cassava, and industrial starch), Sweeteners (Premium White Sugar, Premium White Beverage Sugar, Premium White Sugar, and Premium White Sugar Cubes) and Agro-inputs (NPK 20-10-10 Fertilizer, NPK 27-13-13 Fertilizer, NPK 15-15-15 Fertilizer, NPK 12-12-17 + MgO Fertilizer, and Urea 46-0-0). To expand performance in this segment by boosting maize and soya beans cultivation, FMN Plc through its Agripreneurship initiatives collaborated with farmers by providing them with high-quality seeds, fertilizers, and other inputs to optimally increase yield. The firm also cemented its partnership with the Flour Milling Association of Nigeria (FMAN) to enable the country to achieve wheat self-sufficiency. Feeds and proteins businesses witnessed the right attention as the firm is on the ladder of improving its capacity as well as actualizing strategies that enable easy access for raw materials sourcing. Reflecting on this improvement, Premium Cassava Products Limited's (PCPL) (a subsidiary of FMN Plc) acquisition of the AMCON facility in Ososa and the purchased lease of 1,220 hectares of land from Olabisi Onabanjo University (OOU), in Ogun State will support the firm's Garri and Starch activities which we expect to positively impact on the segment's revenues as supply is boosted. Drawing from these developments, we forecast revenue from this segment to grow by 11.61% CAGR representing 2x of current performance.

Sugar: The sugar segment holds products like Premium White Granulated Sugar, Premium White Beverage Sugar, Premium White Sugar, and Premium White Sugar Cubes. This segment represents the third-largest revenue segment of the group, contributing 13.3% to total revenue, with an astonishing growth of 10.42% between FY-2017 and FY-2021. The firm acquired 4,131 hectares to add to its existing one bringing the total hectares to 22,000 hectares in Sunti. Based on FMN FY-2021 Annual report, we consider this acquisition as an extremely good arable land that will enhance performance going forward and significantly add to the share of this segment to total revenue. We also consider the 20,450 hectares acquisition in Nasarawa as a positive backward integration program (BIP) that will elevate performance and support Nigeria's goal of sugar self-sufficiency. Hence, we expect revenue from this segment to grow at 7.66% CAGR incorporating the effect of any economic downturn from N124 billion in FY-2021 to N180 billion in FY- 2026.

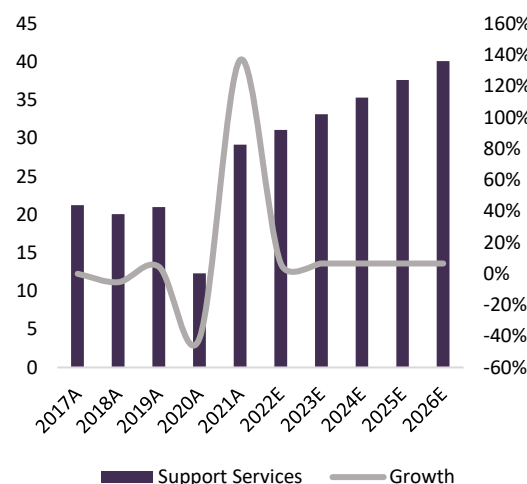
Support Service: FMN Plc's support services businesses cover activities like "manufacturing and marketing of laminated woven polypropylene sacks and flexible packing materials. Port terminal operations, customs clearing and forwarding, shipping and haulage services, and leasing of investment property". Bagco, FMN Plc's bagging, and packaging company reported impressive revenue from agricultural, flour, feeds, and rice markets as stated by the firm. To reduce the risk in this segment,

Fig 5: Food revenue and y/y growth



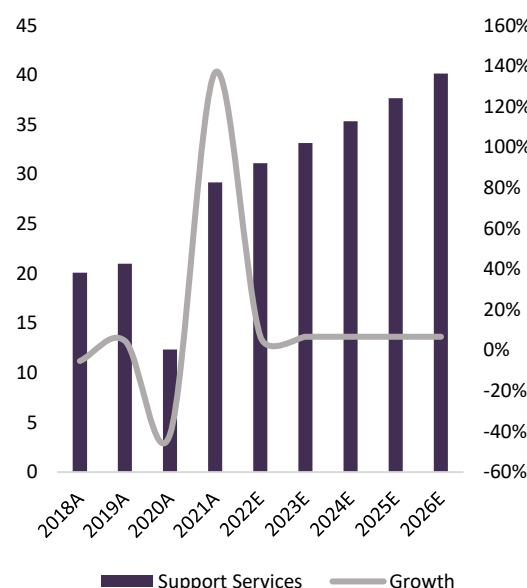
Source: FMN Annual Report

Fig 6: Agro-allied Revenue and y/y growth



Source: FMN Annual Report

Fig 7: Sugar revenue and y/y growth



Source: FMN Annual Report

the firm adopted a Zero Fly Storage Bag strategy that prevented insects' infestation of the polypropylene bags. We believe that activities of other businesses like Golden Transport company and APAPA Bulk Terminal limited impacted the segment's performance to report incredible growth of 23.67% on average from N80 billion revenue in FY-2018 to N124 billion in FY-2021. We forecast revenue to grow at 6.57% CAGR throughout the forecast period.

OWNERSHIP STRUCTURE

FMN Plc is ultimately owned by a foreign investor, Excelsior Shipping Company Limited which is a Liberia registered company. The majority stakeholder operates in the Marine Transportation industry and a further assessment of its ownership is linked to the Greeks, George Coumantaros, and his family. As of FY-2021, Excelsior Shipping Company Limited holds a beneficial interest representing 63.34% of the paid-up share capital of FMN Plc. The company reported that no other individual shareholder has a substantial stake of up to 5%.

INDUSTRY OVERVIEW

Global Outlook: Food Processing and Wheat

The global food processing industry was valued at \$143.51 billion in 2020 with a growth projection of 6.6% CAGR to the year 2028. According to Verified Market Research (VMR), escalating food demand, rising innovation in food processing machinery, continued research and development, as well as advancements in technology, will be the key drivers for the market to settle at \$235.67 billion by 2028. The value of Global Flour market was estimated at \$258.97 Billion in the year 2021 with a further expectation of growth at 4.60% CAGR to \$339.18 Billion by the year 2027 (source: Expert Market Research). This growth is expected to be driven by the global rising population and a corresponding upsurge in the demand for food.

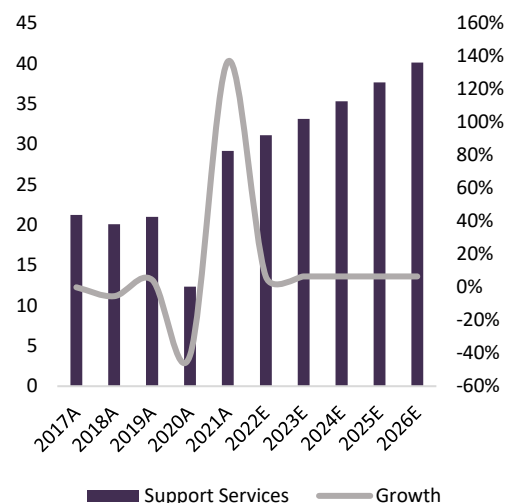
Russia-Ukraine Impact on the global food industry

2020 was a difficult year on a global scale as Covid-19 impacted the demand-supply side of the industry. The industry gradually expanded post-covid-19 in 2021, however, the Russia-Ukraine war exacerbated the supply chain disruption of food products in 2022. Ukraine, a nation regarded as the Breakfast of Europe has 56% arable land of its total land area. Weforum reported that the country grows abundant food to feed 400 million people globally. Russia and Ukraine account for a huge chunk of global food export (c.30%) while some countries are particularly dependent on their food products. For example, about 70% of Turkey's and Egypt's wheat export are sourced from Russia and Ukraine. Harvesting and processing become hindered due to the war with a resultant effect on prices of inputs and products. In the US, prices of foods for cereal and bakery products that greatly rely on wheat have skyrocketed, with the largest increase seen in February 2022. According to FAO Food Price Index (FFPI), global food prices for March 2022 increased by 12% m/m and 33.6% y/y. We highlight that the increase was primarily due to a 17.1% y/y increase in the cereal prices index in line with the Russia-Ukraine crisis. We are of the view that this upward global price trend will continue to affect input costs as the war continues. We also expect to see the possible impact on the local food processing industry.

Domestic Overview:

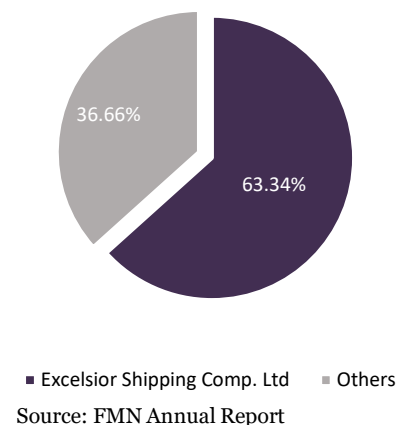
The Nigerian Flour Milling industry has seen monumental growth with demand exceeding supply over many decades. The industry's potential to meet this ever-growing consumption level is highly based on the installed capacity of flour millers (the companies) which is very low to take care of the nation's domestic demand. Based on the data obtained from United State Department of Agriculture (USDA), Nigeria's consumption level of wheat grew by 36.80% from 3.5 million metric tonnes in 2010 to 4.9 million metrics tonnes in 2019 even as consumption slowed in 2021 to 4.7 million metric tonnes due to the advent of the Coronavirus pandemic. Putting these numbers relative to production of wheat, Nigeria produces up to 300,000 metric tonnes of wheat annually which is far less than the annual requirement of

Fig 8: Support services revenue and growth



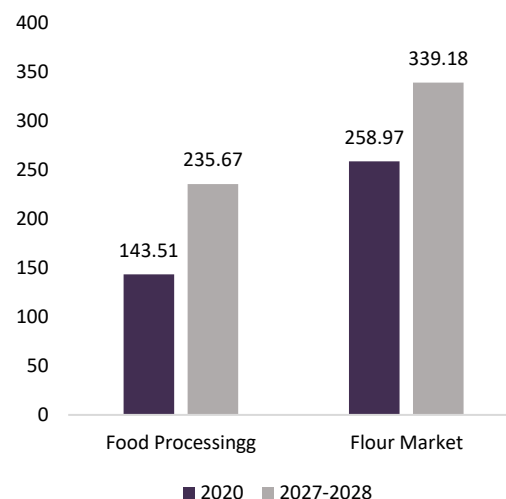
Source: FMN Annual Report

Fig 9: Ownership Structure



Source: FMN Annual Report

Fig 10: Global Food Processing and Flour Market (\$'bn)



Source: VMR, EMR

5 million metric tonnes and this is expected to be doubled by the year 2030. To meet up for this shortfall, the country is dependent on the importation of this product. Nigeria imports about 90% of its wheat and the global rise in wheat prices has become a major challenge that is being faced by Flour Millers. US Wheat Futures as of March 2020 was \$ 567.75 per bushel, as the global economy expanded after the pandemic restrictive measures, the global wheat price jumped by 35.76% by the end of 2021 to \$770.75 per bushel compared to its price as of March 2020. The disruption from Russia and Ukraine as two leading wheat suppliers compounded this upsurge as the price skyrocketed by 93.13% as of April 2022 to \$1,096.50 per bushel compared to the \$567.75 in March 2020. Correspondingly, local prices for wheat staples have also increased coupled with a direct response to local domestic economic fundamentals like inflation and foreign exchange. With a population of more than 200 million (the most populous in Africa), we are positive about Nigeria's Flour Milling industry's growth potential as current consumption is still low at 5 million metric tonnes when compared to other African and emerging markets: EGYPT – 21 million, Algeria – 11.3 million, Morocco – 10.7 million and India – 104 million.

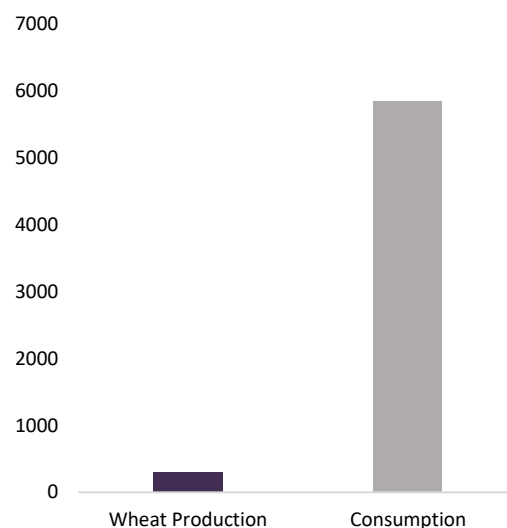
Market competition in the industry is escalated with horizontal and vertical integration to enhance market share and boost performance by a few players. The market is considered oligopolistic with invisible large barriers to entry. According to the BusinssAM report in November 2021, two top players control the market with c.86% of the market share. Olam as one of the industry leaders after the acquisition of Dangote Flour mills has expanded its market to c.44% as of November 2021. Same as FMN Plc post-acquisition of Honeywell with an estimated market share of c.42% from c.32% pre-acquisition. Flour Millers' profitability in the industry is highly dependent on their ability to increase capacity which is a proxy used for market share. The more capacity is added, the more the revenue that will be generated. Olam has a capacity of 11,140 metric tonnes per day while FMN Plc is estimated to operate on 9,600 metric tonnes per day (including Honeywell capacity). Grossing this by the market share of both companies, we believe the total market capacity of the industry is 24,116 metric tonnes per day. Even though capacity is an absolute determinant of Flour Millers' success factor, domestic inflationary pressure, foreign exchange volatility, and global surge in the prices of raw materials needed for production will affect performance. Analysis shows that demand is fairly price-elastic even though the market price is determined by Flour Millers Association. "While a basket of similar commodities has increased in price by an average of over 50%, bread prices have only increased by 28%" since 2020 with producers trying to cut the size of their products while maintaining the price. However, top market players occasionally violate fixed prices to pass the cost through to the consumers.

FMN Plc Market Analysis – Competitive Positioning

Competition: We consider FMN Plc to be favorably positioned as one of the leading top players in the market. The firm has added about 10% to its market share through the acquisition of Honey Well thereby enabling it to increase its volume. From a pricing perspective, we understand that the cost of production is high in the industry as more than 90% of its raw materials are sourced abroad. High freight costs and continued depreciation of Naira have also propelled cost pressures. We expect the firm to pass through part of its cost to consumers as one of the market price setters. We also expect FMN Plc's strong brand quality to continue to enhance the company's business under the "Golden Penny" brand.

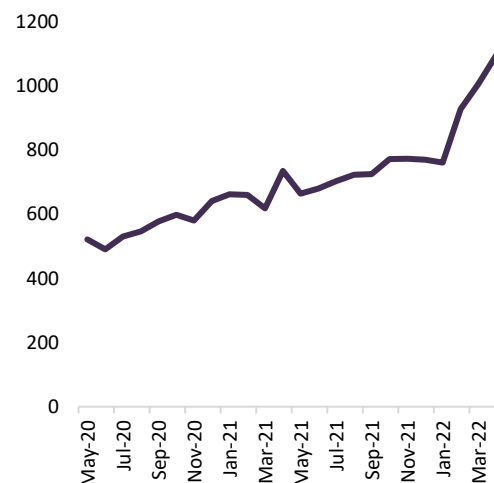
Capacity: The industry is largely driven by capacity which is a major determinant of boosting sales and profitability. Though the industry net margin is slim due to high direct costs and overhead expenses. FMN Plc reported that they have taken initiatives to reduce cost, and this has boosted Gross margin and Net margin from 11.47% and 1.98% in 2020 to 13.84% and 3.3%, respectively in 2021. Even though BUA Flour mill has a capacity of 1,600 metric tonnes per day, they started the construction of 2,600 metric tonnes per day as an addition to its capacity. We do not expect this to have a significant impact on the performance of FMN Plc. We expect FMN Plc to be more profitable by out-producing competitors while ensuring a relatively stable cost.

Fig 11: Local Wheat Scenario



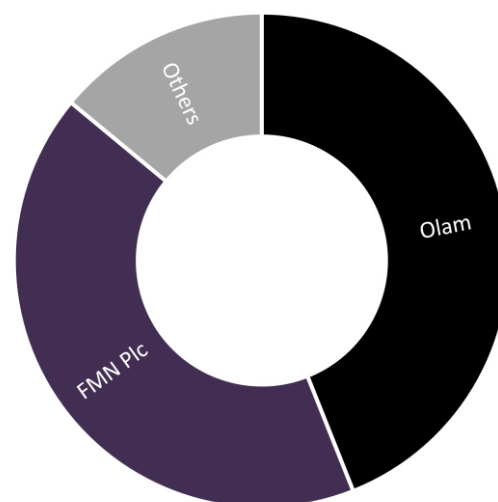
Source: World Population Review

Fig 12: US Wheat Futures Price



Source: Investing.com

Fig 13: Market Share



Source: BusinessAM

We are also of the opinion that the firms will take initiatives to increase their current capacity levels to increase market share and profitability. Hence, we forecast Capex to grow at 3.03% on average over the forecast period.

Price Elasticity: We understand that wheat-based products are relatively price elastic. A price change will likely see consumers looking for alternatives in the fast-moving consumer goods products. It has been 60 years since the firm has been providing quality taste and meals to its consumers. We are positive that FMN Plc will continue its quality standard products provision to ensure customer retention.

Adequate Distribution: To ensure an effective and efficient distribution network, FMN Plc through its support services that house logistics ensures fast and adequate delivery of its products to the final consumers to meet up with the demand in other parts of the country where demand remained propelled. With a significant increase in operational efficiency, Golden Transport now operates a 24-hours control center to keep track of all FMN trucks. Over the 9 months of its FY-2022, FMN has ensured investments in RTM redistribution bringing on additional 22 new vans in Q3 -2022. This enhanced revenue from support services with a growth of 62% from 9M-2021 of N15.6 billion to N25.4 billion for 9M-2022.

FINANCIAL ANALYSIS

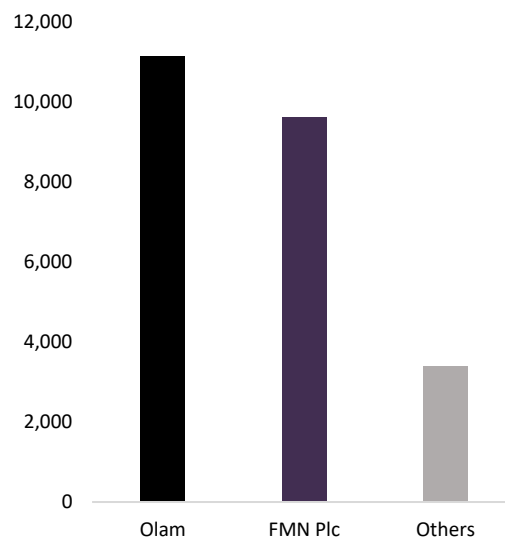
Robust revenue growth in an untapped market:

After an impressive growth of 8.79% y/y for FY-2020, FMN Plc reported stunning revenue growth of 34.48% y/y for FY-2021 signaling the firm expanding operational strength to boost its top line. Growth was majorly driven by Food and Agro-allied segments (33.19% y/y to N617 billion) which comprise 83.16% of the firm's total revenue over the past five years (FY2017-FY2021). This performance was enhanced by a substantial investment of FMN Plc in lucrative local content and route to market activities thereby maximizing derivable values in the firm's B2B and B2C businesses. Our analysis showed that the firm grew its revenue at a CAGR of 8.03% over the five-year historical period. The firm's unrelenting innovation and advancement in marketing strategies with the 2020-2021 Golden Penny Basket campaign have further supported growth in turnover. Continuing on the ladder of prosperity, FMN Plc reported N825 billion in 9 months of FY-2022 revenue. This is larger than the overall revenue reported for FY-2021 by 7.00%. This mind-blowing performance as always was driven by the food segment with a growth of 55% y/y as core B2C businesses trend correspond; Flour grew by 24% y/y, Noodles: by 8% y/y, Ball food: by 7% y/y, and Pasta: by 3%. y/y. Accelerated volumes also impacted this impressive 9-month growth to meet the ever-increasing demand of consumers. Golden Vita added 2,940MT in volume, Amazing Day – 713MT, Goat Meat pepper soup - 1,000MT in Q3 of the firm's 2022 fiscal Year-end. The firm also deepened its focus on the small pack segment of the noodles category to ensure increased affordability of its product. Drawing from the firm's commitment to boost local content and its tightened partnership with the Flour Mills Association of Nigeria to ensure increased agricultural products and wheat self-sufficiency in Nigeria, we forecast revenue to grow at an adjusted 5.39% CAGR printing more than N1 trillion by FY-2026E.

Imported price fuel Operating Cost:

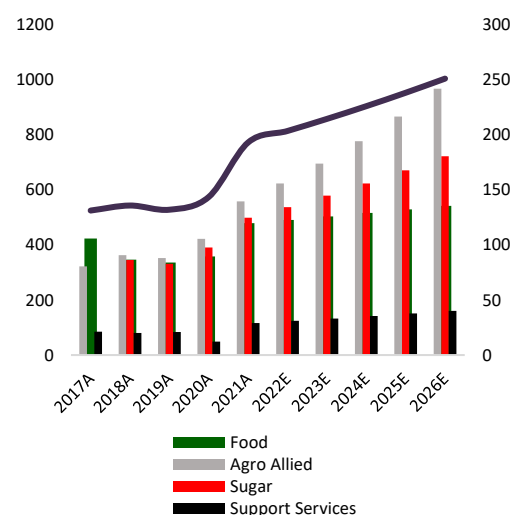
Flour Mills Plc operates in an industry that pays an average 80kobo for every N1 of revenue generated. Hence, the heavy cost to revenue has greatly impacted Gross margin to record a slim average of 12.16% over the past five years for the firm. Total cost to sales increased by 30.88% y/y in FY-2021. As expected, a larger part of the company's cost of sales goes into the cost of raw and packaging materials at 85.73% and 87.78% of total cost of sales in FY-2020 and FY-2021, respectively. Given that more than 90% of the wheat (a primary and large part of raw material) consumed in Nigeria is imported, we attribute this increase to the after-effect of the pandemic-related shock that kept the price of wheat and other imported raw materials elevated. US Wheat Futures as of March 2020 was \$ 567.75 per bushel, as the global economy expanded after the pandemic restrictive measures, the global wheat price jumped by 29.51% in 13 months to \$735.3 per bushel by April 2021.

Fig 14: Competitors Capacity



Source: BusinessAM

Fig 15: Revenue and its Segment



Source: FMN Annual Report

Fig 16: Cost of Sales



Source: FMN Annual Report

However, compared to the average performance of 87.84% over the historical period and the highest 89.88% in FY-2019, the firm has been able to bring down its operating cost to a margin of 86.16% justifying its capability in improving operational efficiency. This has significantly expanded its gross margin by 13.84% y/y by FY-2021 from a historical average of 12.16%. The operating margin also expanded in FY-2021 to 6.76%. However, this has been below the historical average of 7.17%. We attribute this to increased selling and administrative expenses as the firm added to the size of its employee to increase productivity. We expect the firm to maintain a gross margin of 12.18% and an operating margin of 6.94% over our forecast period.

Profitability - Net margin move beyond levels:

In FY-2017, FMN Plc's net margin struggled to print 1.65%. Margin shrunk further to 0.76% because of the high cost of sales of 89.99% on total revenue in FY-2019. However, with a reduction in the cost of raw and packaging materials in FY-2020 as against revenue compared to the previous year, the net margin increased to 1.98% (by 184.41% y/y), given the firm's cost reduction strategy. The firm's ability to reduce cost and its initiative on boosting local content saw net margin rise above historical levels in FY-2021 at 3.33%. The net margin grew by 126.05% y/y in FY-2021 printing a remarkable N25 billion for the first time over many years. EBITDA Margin had stayed positive at a double-digit of 10.33% over the historical period. We forecast both EBITDA margin and Net margin to print at 10.57% and 2.11% over the forecast period.

Shareholders' returns showing impressive improvement:

A cursory look at the ability of the firm to maximize its shareholders' return shows that FMN Plc's dividend yield has increased from 2.33% in FY-2017 to 4.28% in FY-2021. While not, in contrast, return on equity rose to a double-digit of 14.73% in FY-2021 from 8.62% in FY-2017 with the lowest of 2.65% seen in FY-2019 when macroeconomic factors impacted the firm otherwise. The firm reported in its FY-2019 annual report that low wage growth compared to the inflationary pressure which was about 11.98% at that time reduced consumer purchasing power. Notwithstanding, the dividend payout for the year was 137.21%. Its turnaround strategy for its agro-allied division which was aimed at boosting profitability through improving local content saw a net margin climb to 3.3% with a double-digit return on equity of 14.73% as of FY-2021 when compared to 8.62% in FY-2017. We are positive about FMN's ability to meet its regular dividend strategy going forward given its large reserve balance and attractive market opportunities that are expected to spur growth. We are also positive that the firm will capitalize on the industry growth potential using its strategy. Hence, we forecast dividend yield to average 8.41% through the forecast rising above the level it was. Similarly, we expect dividend payout to climb a bit from an average of 50.79% to 57.79% through the forecast period.

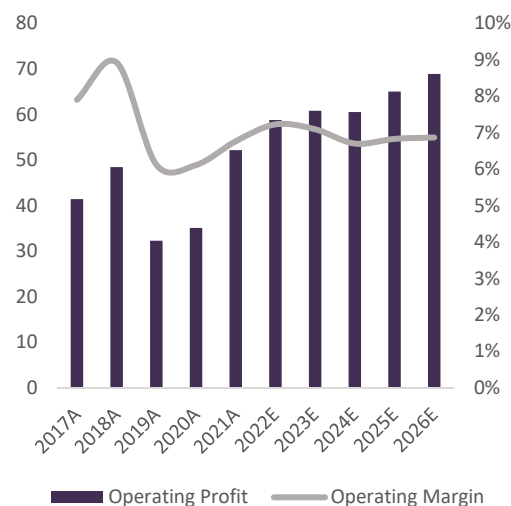
Liquidity – expanding ability to meet obligations:

FMN Plc's current ratio recorded 1.08x on average over the past five years. The ratio has constantly been improving every year and this shows the stability of the financial strength of the company in meeting its short-term obligations. From 0.83x in FY-2017, the firm boosted its current ratio to 1.46x in FY-2021. Similarly, a quick ratio that does not consider inventory in its calculation has also stood positively on average from 0.45x to 0.53x FY-2017 to FY-2021 respectively. We are of the view that the firm current and quick ratio will further improve through the forecast period to 1.55x and 0.70x respectively as the company improves its efficiency in selling its products to consumers thereby optimizing its production capacity.

Capex Financing as a basis for growth:

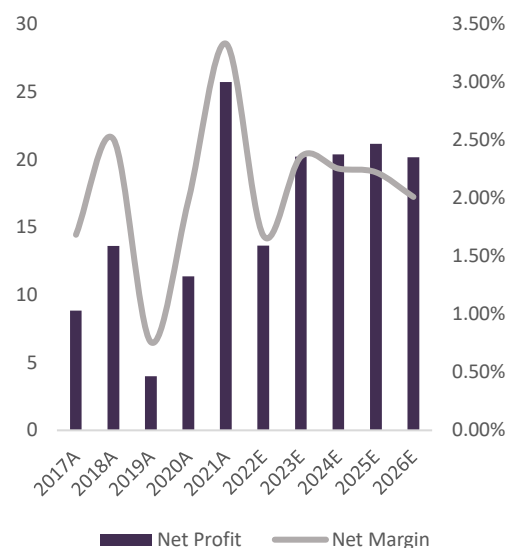
Over the years, FMN Plc's capital structure indicates that the firm has financed 41.33% of its CAPEX with debt while allocating 58.67% to equity financing. The firm has successfully incurred a total amount of N110.6 billion on capital expenditure from

Fig 17: Operating profit and margin



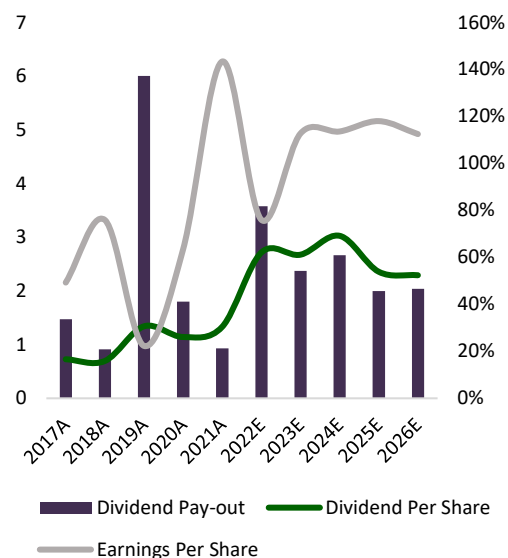
Source: FMN Annual Report

Fig 18: PAT and Net margin



Source: FMN Annual Report

Fig 19: DPS, EPS and DFO



Source: FMN Annual Report

a mix of debt and equity equivalent to a capital intensity rate of 3.85% on average over the historical period. From this amount, the N24 billion Bank of Industry Loan CBN intervention fund was sourced to refinance the construction of power plants and expansion of existing manufacturing plants. The need to invest in the sugar value chain and gain a substantial competitive advantage in the market has been one of the key drivers of investment that saw CAPEX to average growth of 5.19% over the historical period. With the additional purchase of 4,000 hectares of land from Sunti and the acquisition of 20,450-hectare of land in Nasarawa, Revenue from the sugar segment has grown by 27.66% y/y in FY-2021. Over the first nine months of FY-2022, the firm has a total capital investment of N33 billion which it has successfully expended on the purchase of additional capacity for the Pasta line (51,800 MT), Soya Plan (8,600 MT), Kaduna Feed Mill (120,000 MT – expected to be commissioned in May 2022) and the acquisition of 60 GTC Trucks. We expect that the increase in CAPEX expenditure would have a direct impact on revenue growth. We projected average capital expenditure of N38 billion with a mix of debt to equity of 52.35%/47.65% as we expect the firm to further maximize the shareholder's value through leverage. We forecast Capex intensity to moderate at 3.53% over the forecast period. We expect CAPEX to grow at 9.09% producing blistering revenue growth of 5.39% CAGR.

VALUATION

Valuation Summary

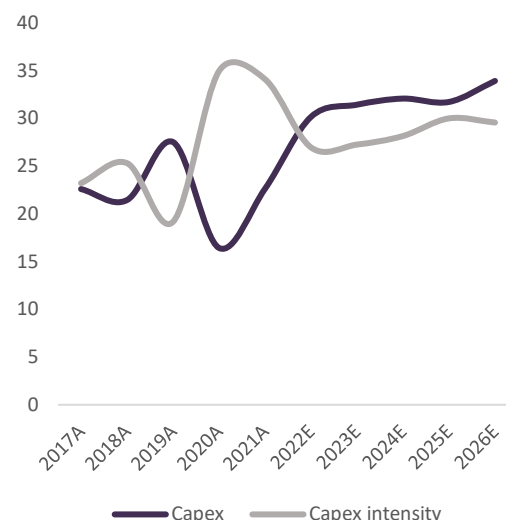
We initiate coverage with a BUY recommendation on FMN Plc on a standalone basis. Our valuation is based on a weighted mix of both Intrinsic and relative valuation methodologies. We employed Discounted Cash Flow (DCF) and Dividend Discount Model (DDM) for the intrinsic valuation. For the relative valuation, we used the valuation methodologies suitable for a firm like FMN Plc as provided by Refinitiv viz – EV/EBITDA, EV/Sales, and P/E Ratio. Based on a weight of 70% for the Intrinsic Valuation and 30% for Comparables (Comps), we derived a 12-month target price of N51.72 per share. This is a 66.56% upside to the current share price of N31.05 as of April 01, 2022. The fair value arrived at shows the implied value of FMN Plc. Intrinsic methods were computed to determine the inherent value of the company from the perspective of its potential present value of all generatable cash flow. Comps trading multiples were employed to validate and support our intrinsic methods by looking at similar public companies with close business and economic fundamentals. Holding to the idea that the closest comparable for FMN Plc, Olam Flour Mills which acquired Dangote Flour Mills is unlisted and that scale, key business, and economic attributes from comparables sourced from Africa and similar companies in Asia to some extent differs, we decided low weight for our comps multiples.

Free Cash Flow to Firm (FCFF): For the derivation of FCFF, we used NOPAT allowing us to project an N38 billion average FCFF through the forecast period. We are conservative in our approach by considering possible economic downturn while expecting aggressive investment in CAPEX. We think that the firm has inherent growth potential, hence we considered a moderate and appropriate sustainable growth rate of 11.52% that drives the value of our terminal FCFF. This is equivalent to the than long-term nominal GDP growth and higher than the long-term inflation rate since we do not expect the firm to expand beyond the growth of the overall economy while delivering a return above the rate of inflation.

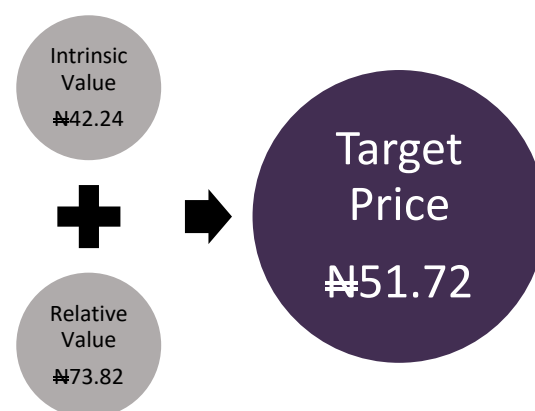
Capex: Capex is projected to grow at 3.03% on average through the forecast period. We estimate FMN investment in capital expenditure to rise to N33 billion FY-2026. We consider this to be relevant knowing-fully well that the market is still under-tapped in terms of consumption when compared to other countries and firms in the industry must elevate their capacity to meet up with competition and maintain market share.

Weighted Average Cost of Capital (WACC): We employed a debt-to-equity mix of 42.84% to 57.16% based on the position of the firm on average over the five-year historical period. We arrived at 19.23% WACC for our forecast period. For the terminal horizon, we adopted a debt-to-equity ratio of 65% to 35% respectively arriving at a WACC of 11.33%. We think that the firm will increase its leverage to maximize return to shareholders.

Fig 20: Capex and Intensity



Source: FMN Annual Report



WACC	21.35%
Cost of Equity	25.13%
Weight of Equity	57.16%
Cost of Debt	16.32%
Weight of Debt	42.84%

Cost of Equity	25.13%
US Risk-free rate	2.15%
Inflation differential	7.23%
Nigeria inflation	15.70%
US inflation	7.90%
Rating-based default spr	4.68%
Naira Risk Free rate	14.06%
Beta	0.83
Market Risk Premium	4.24%
CRP	5.44%
Alfa	3.00%

Since the computation of WACC is the weighted result of Cost of Equity and Cost of Debt, we employed the capital asset pricing model (CAPM - Cost of Equity (Re)= Risk-free rate+ (beta*Equity risk premium)) for the computation of cost of equity resulting in a 25.13% (Forecast Horizon) and 17.26% (Terminal Horizon) based on mature market perspective derivation. Using a US risk-free rate of 2.15% (US Treasury) as well as adding inflation differential of Nigeria and US plus rating based on default spread sourced from Damodaran, we arrived at a Naira Risk-Free Rate of 14.06%. The equity risk premium is an addition to the market risk premium of the mature market and country risk premium provided by Damodaran. We, however, added alpha to account for the possible risk that may not be accounted for by these variables. We derived a risk premium of 9.68%. We used a levered beta of 0.83 estimated from the weighted average of four calculation methods. For the terminal horizon, we believe that the real growth rate cannot be lower than the real interest rate since promised returns must be covered by enough growth in the economy in the long term. Hence, we applied a cost of equity that is tantamount to the long-term nominal GDP growth rate of the economy adding a premium based on the risk appetite of investors in a mature market. We are also of the view that the volatility of the company's stock against the market will converge in the long run. Hence, we adopt a beta of one (1).

For the cost of debt, FMN Plc in our view has multiple tranches of debt that incorporated the total debt size in its capital structure. Hence, picking a yield based on some of its debts that are listed with different rates of return will not provide a true cost or required rate of return demanded by debt investors in an arm's length transaction. To arrive at a fair value of its debt which consists of both listed and unlisted debt with different rates of return and maturity, we apply the yield of federal government bonds with similar FMN longest term to maturity debt of 12.41%. To account for credit risk, we employed a commercial bond premium calculated as the average risk premium of similar corporate bonds issued by firms like FMN based on the data sourced from FMDQ. We consider a default spread of 5.47% from data sourced from Damodaran with a similar credit rating. FMN credit rating ranges from CCC-rated Bond which is a lower rating bond with a high inherent risk to B- negative which is also considered a non-investment grade bond and speculative. We applied the average spread of this rating as our default spread. To account for liquidity spread, we used On-The-Run and Off-The-Run FGN Bond spread of 4.94%. We derived an after-tax cost of debt with an effective tax rate of 32% on average of what the firm has reported over the historical period.

Intrinsic Valuation Model | 60% Weighting

Discounted Cash Flow Method (FCF): We computed Free Cash Flow to Firm (FCFF) using NOPAT which is a financial measure to understand the degree of a company's operational efficiency through its core operations net of tax. We discounted the cash flow using a WACC of 21.35% over a five-year forecast horizon. This valuation approach gave us an intrinsic value of N74.21 which is a 138.99% upside. The FCFF was preferred to Free cash Flow to Equity (FCFE) because the FCFE stayed unstable as a result of aggressive Capex investment, and it will be great to provide a rosier picture of the firm sustenance.

Dividend Discounted Model (DDM): FMN Plc has shown consistency in the payment of dividends over the years. Hence, we employed DDM to complement our DCF analysis. We arrived at a target price of N29.53 (-4.90% downside) using this method. Our analysis shows that FMN Plc has been able to grow its dividend historically over the past five years by a CAGR of 12.92%. We however employed a conservative outlook for our terminal horizon with a growth projection of 7.75%. We think that the firm will return positive earnings to investors even during an economic downturn reflecting on its performance in the 2020/2021 financial year.

Intrinsic Valuation: To arrive at a fair value of the firm's share price using this approach, we employed the harmonic mean of the two intrinsic valuation approaches (DCF and DDM) arriving at a share price of N42.24. This gave us a 36.05% upside compared to the current market price (N31.05/share).

After-tax cost of debt	16.32%
FGN Bond of Similar Mat	12.41%
Risk premium	6.65%
Commercial bond premi	1.19%
Default Spread = B- to B-	5.47%
Liquidity premium	4.94%
Tax	32.00%
Cost of debt	24.00%

Applied Growth Rate	11.52%
Long term nominal G	11.52%
Long term real GDP grov	3.02%
Long term inflation	8.50%
Sustainable Growth R	11.60%
Retention Ratio	78.79%
Dividend Pay Out	21.21%
Return on Equity	14.73%

DCF - Intrinsic Value	
Enterprise Value	452,967,264
Plus: Cash	37,163,344
Less: Debt	179,465,371
Less: Minority Interest	6,388,551
Equity Value	304,276,685
Equity Value Per Sha	N74.21

DDM - Intrinsic Value	
Average Dividend Paid (	15,095,361
Applied Growth	7.75%
Historical Growth in div	12.92%
Equity Value	121,073,089
Equity Value/Share	29.53

Implied Intrinsic Val	N42.24
Discounted Cash Flow	N74.21
Dividend Discount Model	N29.53

Comps Multiples Summary	
Exchange rate	416

EV/EBITDA multiple -USD	
EBITDA	68.61
EV/EBITDA multiple	10.48x
Enterprise Value	718.90
Cash	97.66
Debt	392.56
Minority Interest	16.79
Equity value	407.21
Shares outstanding	4,100.40
Implied Value per share	0.10
Implied Value per share -NGN	41.31

Comparable Valuation Model | 40% Weighting

Using the premise that FMN Plc's equity value should display some congruence to other equities of the companies in a similar class, we arrived at a target price of N73.82, 137.74% upside using this method of valuation based on the harmonic mean of three different comps approaches; EV/EBITDA, EV/Sales, and P/E multiples. In selecting comparables, we carefully looked at the peers provided by Refinitiv both within the domestic market and emerging markets. We selected suitable comparables based on (1) industry classification (food processing) (2) geographical characteristics (Africa, MENA, and other emerging market countries) (3) financial strength (in terms of revenue generation of \$250 million to \$2.7 billion and EBITDA range of \$25.5 million to \$615 million) and (4) size (in terms of market capitalization for the normalized financial year-end of 2021).

EV/EBITDA: Our EV/EBITDA multiple considers the neutrality of capital structures enabling us to assess the overall financial performance and profitability of the firm. We arrived at an EV/EBITDA multiple of 10.48x with an implied share of N41.31.

EV/SALES: This valuation method compares the total value of a company to its annual sales. It gives insight into how much investors are willing to pay per unit of sales. We are of the idea that sales are still under-tapped in the market. We envisage a growth potential of FMN Plc revenue as we expect consumers to increase their consumption of the industry's products reaching the average level of the comparable market. Our EV/Sales ratio of 0.83x gives a share price of N142.65 which is a 359.41% upside compared to the current market price (N31.05 /share).

P/E: Unlike EV/EBITDA and EV/Sales, P/E multiples compare the share price of the company to its earnings per share. This measure utilizes profit after tax adjusting for non-equity claims in the capital structure. We arrived at a P/E multiple of 15.24x with an implied share price of N106.1.

Sensitivity and Scenario Analysis

Sensitivity: We conducted sensitivity analyses on key drivers of FMN Plc (cost of capital/equity and stable growth rate). These calculations were sensitized as they encompass the growth and risk assumptions of FMN Plc. We established that each of the valuation metrics that was adopted is sensitive to changes in the fair value (See Appendix).

Scenario Analysis: We understand that predicting the future holds an inherent risk. Hence it is pertinent to explore different cases to establish the positioning of the firms in terms of operational performance and profitability that winds down on its fair value. We considered possible bull and bear scenarios by varying the inputs that drive our forecast. We incorporated possible economic downturns like the Covid-19 and its aftermath effect that brought economic recession. Overall, our bull case scenario analysis renders a buy recommendation at a fair value per share of N78.11 (151.57% upside to the current market price), whilst our bear scenario renders a hold recommendation at a share price of N27.95 (9.98% upside to the current market price).

Monte Carlo Simulation:

To further explore probability and randomness, we used Monte Carlo simulation to estimate possible outcomes by leveraging the probability distribution of the firm's share price. Overall, 90% of our monte carlo simulation supports a buy recommendation while 10% supports holds (See result in Appendix).

Football Field Analysis:

We developed a football field chart to enhance the comparison and summarization of results produced by the various valuation methodologies that we applied.

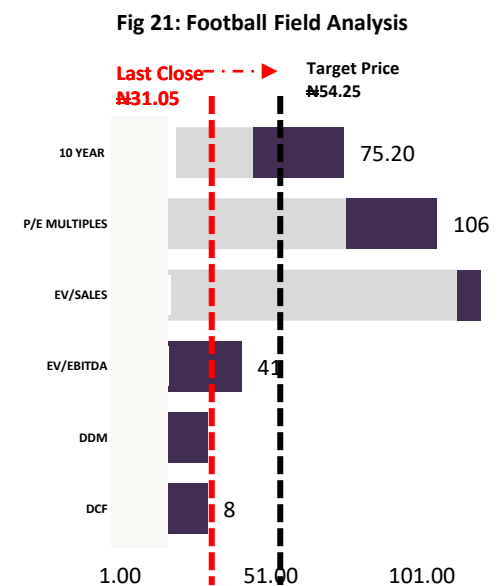
EV/Sales multiple -USD	
Revenue	2,058.69
EV/Revenue multiple	0.83x
Enterprise Value	1,717.73
Cash	97.66
Debt	392.56
Minority Interest	16.79
Equity value	1,406.04
Shares outstanding	4,100.40
Implied Value per share	0.34
Implied Value per share -NGN	142.65

P/E Multiple -USD	
Earnings Per Share	0.02
P/E Multiple	15.24x
Implied Value per share	0.26
Implied Value per share -NGN	106.10

Implied Comps Value - (Harmean)	
EV/EBITDA	41.31
EV/Sales	142.65
P/E Ratio	106.10

Bull Case Scenario		
Target Price	▲	₦78.11
Upside	▲	151.57%

Bear Case Scenario		
Target Price	▼	₦27.95
Downside	▼	-9.98%



INVESTMENT RISK

Russia-Ukraine War: The Russia-Ukraine war has triggered the global price of wheat (a key raw material for flour milling) to rise above \$1000 per bushel. This will have a direct impact on input cost, thus -reducing gross margin. We see this as a significant risk factor as local prices of wheat-based products have shown a notable uptick over the past few years and have risen significantly post-covid 19 pandemics.

Mitigation: We understand that Nigeria imports more than 90% of its wheat consumption and the Russian-Ukraine crisis is an unavoidable risk for all players in the industry. Even as FMN Plc partners with the Flour Mills Association of Nigeria to improve wheat production capacity, meeting the level of current consumption will be a long-term talk. Countries of the world are, however, seeking alternatives to mitigate the impact of the war going forward through local production expansion and buffer stock resorts if available. Efforts are ongoing to boost Nigeria's capacity. We believe the firm will mitigate this risk through boosting local content, continuous focus on field monitoring and training of farmers, and buying raw materials 3 months in advance.

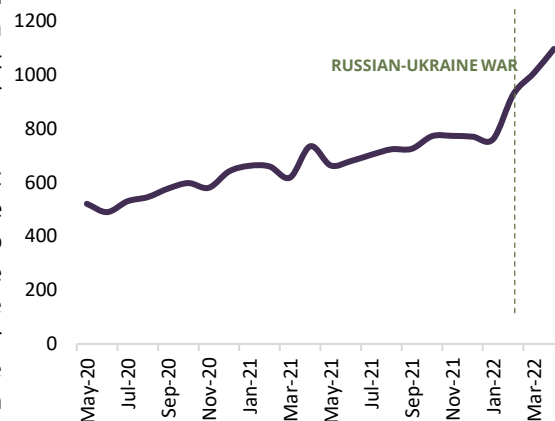
Inflation Risk: Inflationary pressure continues its upward trend to 15.92% in March 2022 maintaining its double digits. Flour Millers products are price sensitive, and customers tend to seek substitutes when they perceive a possible price hike.

Mitigation: Though prices are set by the Flour Millers Association of Nigeria, FMN Plc which happens to be one of the market leaders with a significant 42% share can pass through price to some extent to its customers or through product dynamism strategy. The firm has tried to support farmers in a strategy that will enable it to localize contracts. We also think the firm will mitigate this risk by enhancing economies of scale to increase operational efficiency that reduces cost.

Foreign Exchange Risk: Dollar scarcity has weakened the purchasing power of the Naira with perceived devaluation in both the official and parallel market trading at N416 and N580, respectively. A substantial amount of raw materials is sourced abroad and has to be paid in dollars. Flour Millers now have to go through the black market to source for dollar to meet their foreign exchange needs at an expensive rate.

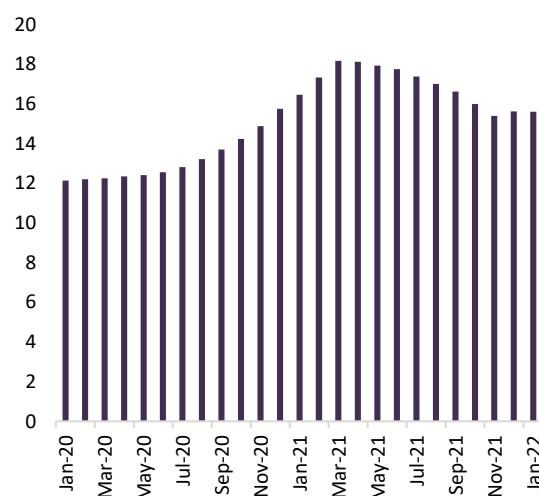
Mitigation: We believe the firm is mitigating this risk through backward integration of its Agro-allied business and exporting of products to neighboring countries – which it started in 2020. We also expect the firm to leverage the CBN's intervention in supporting the industry as well as efforts to ensure Naira's stability.

Fig 22: Russian Ukraine Wae



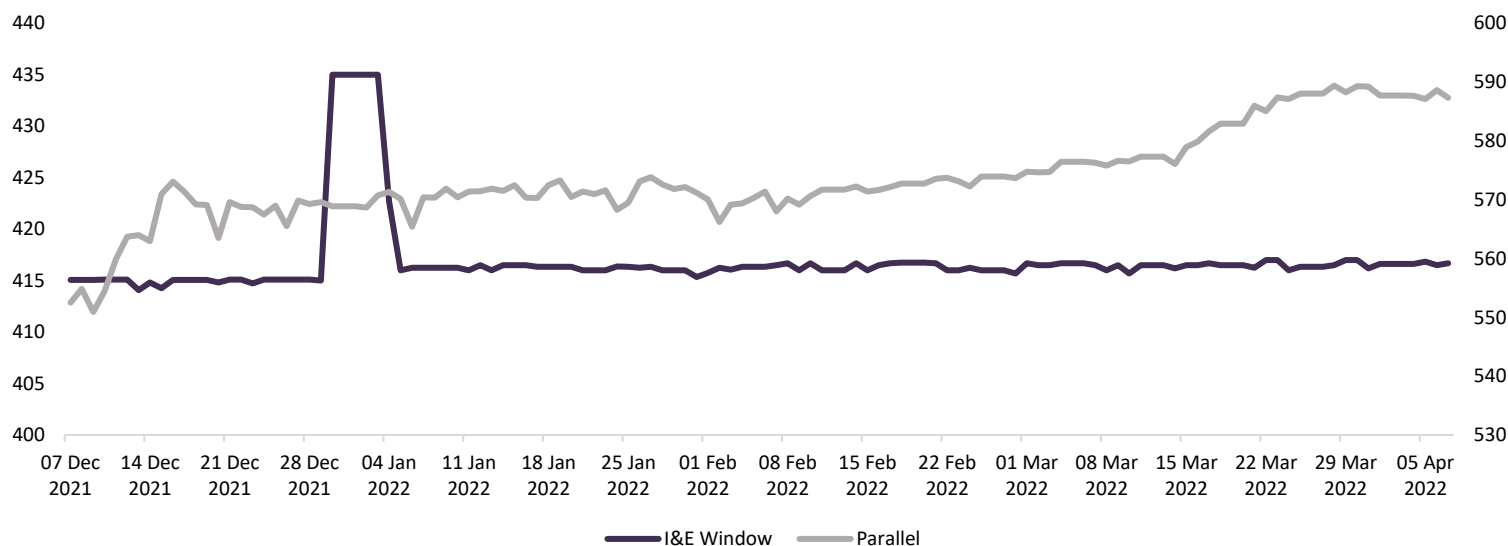
Source: Investing.com

Fig 23: Inflation



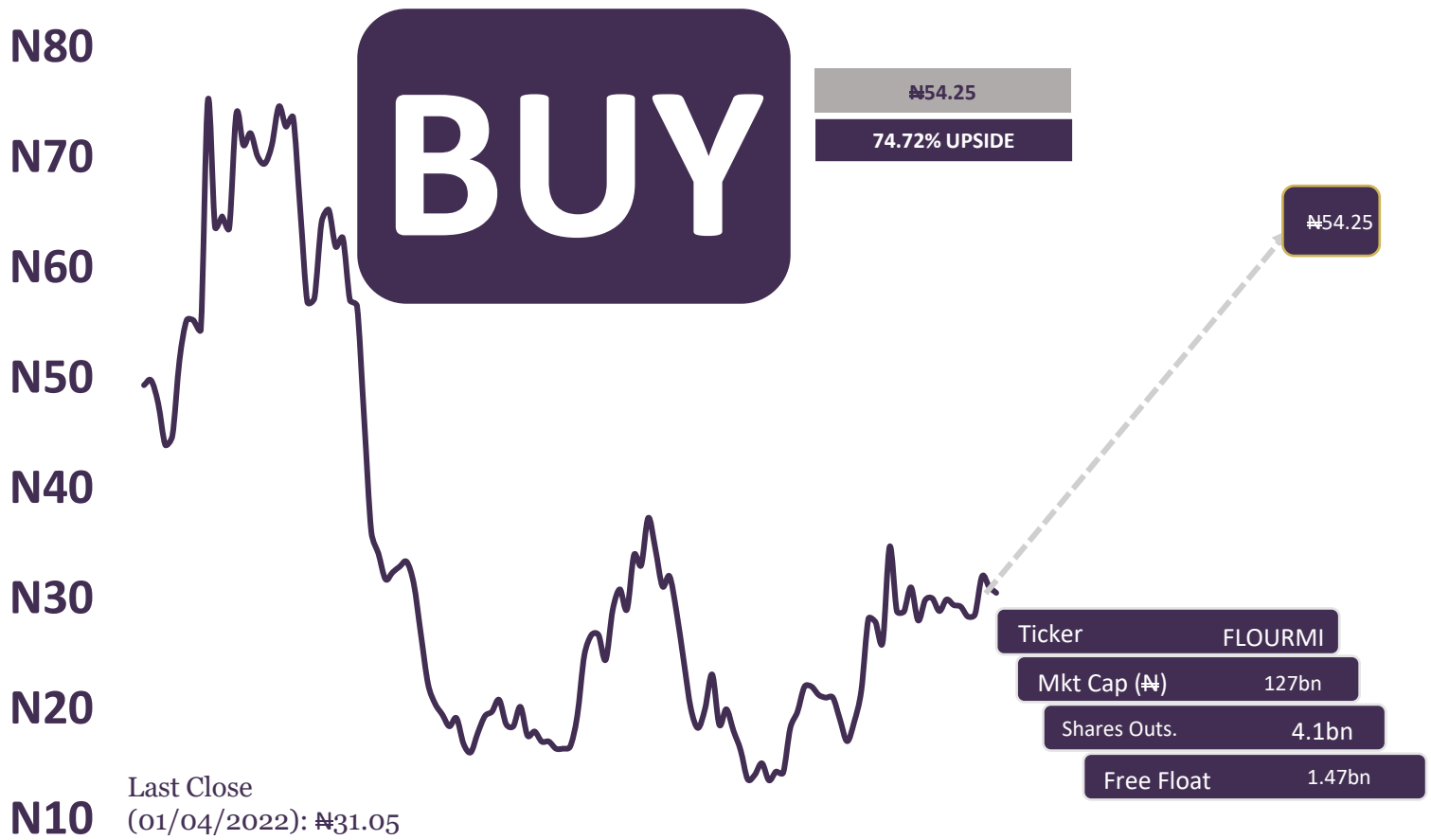
Source: NBS

Fig 24: Exchange Rate



Source: CBN, Africa Plus Partners

1. Share Price Movement



2. Company Segment

Food and Sugar



ABTL
Apapa Bulk Terminal Ltd

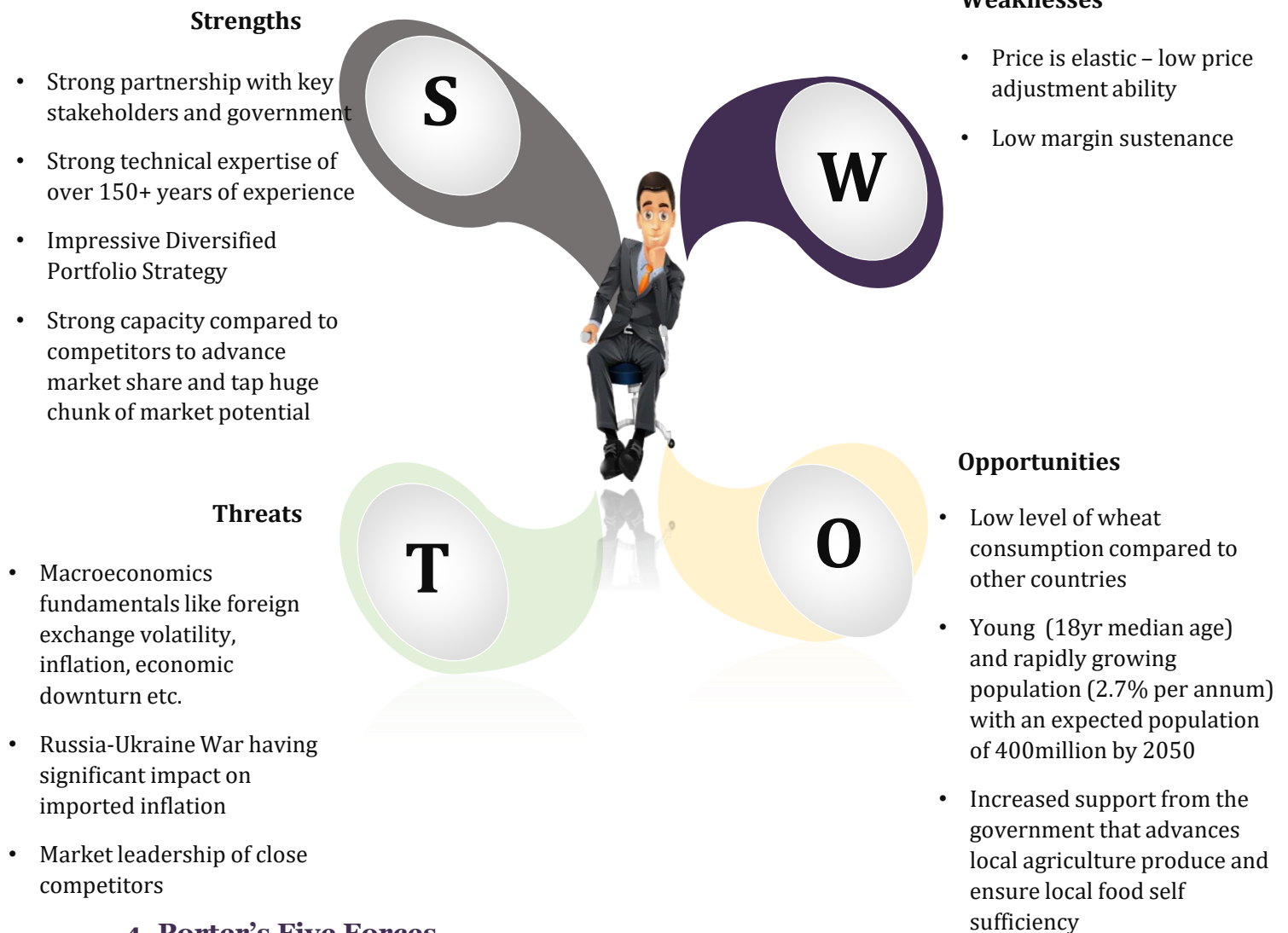


Support Services

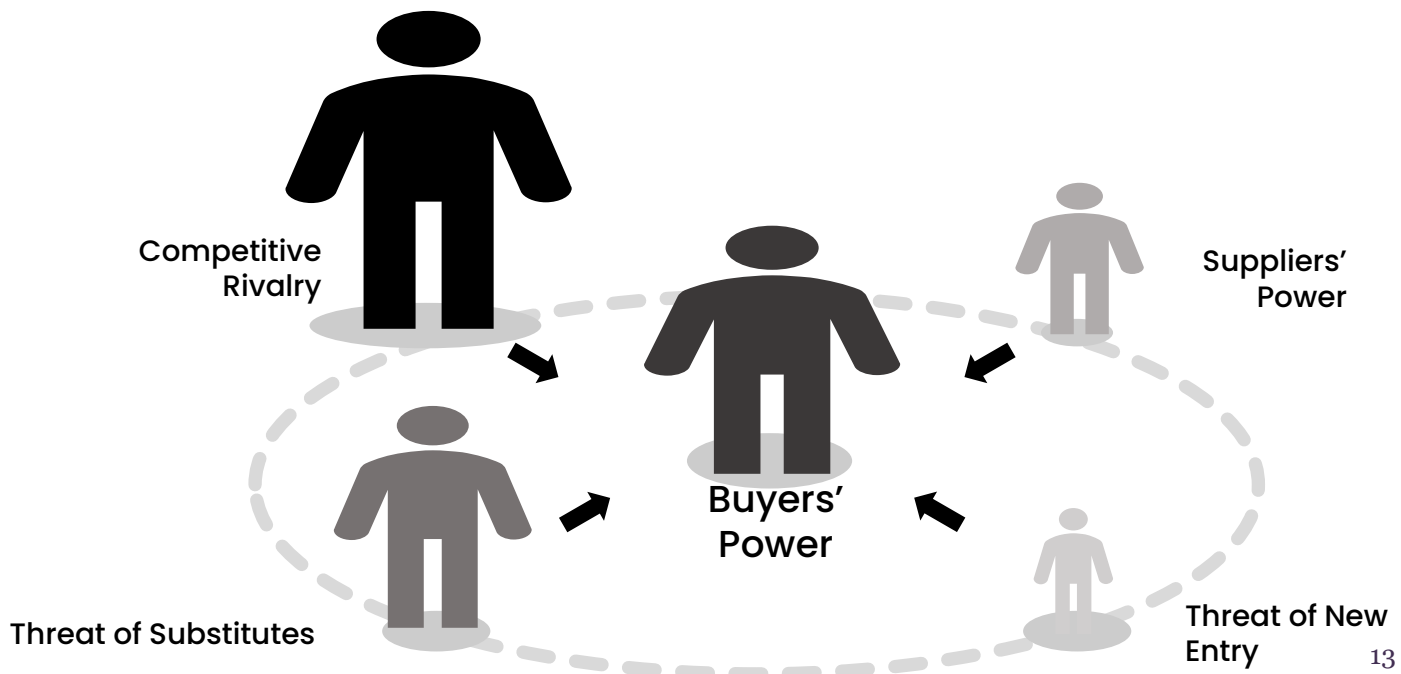
Agro-Allied



3. SWOT Analysis



4. Porter's Five Forces



6. Pestel Analysis

Category	Political	Economic	Social	Technological	Legal	Environment
Possible factors	Possible change in government due next year election could instigate political bias and pressure operations. Tax revenue may likely hit high to expand the overall government revenue.	Downturn in economic outlook through forex volatility could undermine the procurement of resources needed for construction of project. Impact of inflation poses as downside risk	Attitudes of consumers philosophy likely determine the acceptance and rejections of products. The growing population holds great opportunities for growth and value maximization	Rising innovation in technology especially in digital marketing and local content digital needs enhancement.	Importance of taxation and manufacturing rules by regulators and Flour Millers Association of Nigeria.	The Nigeria government target of reducing carbon emission by 60% in coming enhance credibility and brand of the companies that help in achieving this target.
Business impact	Imbalance of business operation, tax increment resulting to cash outflow, among others.	Affect pricing and likely lead to quality reduction. Trigger consumers to seek for substitutes	Enhance market opportunities.	Advancement in technology enhanced market movers to capture opportunities.	Constantly keeping an eye on new regulations to avoid downside risks.	Promotes firm's brand and increase sustainability.
Time frame	1-2 years	1-2 years (possibly longer)	N/A	Unknown	Unknown	Unknown
Type of impact	Threat	Threat	Opportunity	Threat and opportunity	N/A	Opportunities
Rate of impact	Moderate	High	Moderate	Moderate	Moderate	Moderate

7. Financial Statement

Flour Mills of Nigeria Plc						
Balance Sheet (N'ooo)	2021A	2022E	2023E	2024E	2025E	2026E
ASSETS						
Property, plant and equipment	208,721,490	206,349,990	202,346,438	197,295,058	191,166,676	185,616,375
Investment property	1,532,553	1,414,140	1,292,558	1,159,807	1,021,459	877,127
Biological assets	30,930	570,380	1,252,603	2,106,265	2,835,776	3,701,170
Right of use asset	16,511,473	15,124,680	14,779,873	13,822,448	13,135,605	12,253,412
Goodwill	4,148,022	4,148,022	4,148,022	4,148,022	4,148,022	4,148,022
Intangible assests	646,404	466,683	398,165	398,805	354,744	342,088
Investment in subsidiaries	0	0	0	0	0	0
term loans and receivables	38,852	38,852	38,852	38,852	38,852	38,852
Other investments	27,540	27,540	27,540	27,540	27,540	27,540
Deferred tax	6,974,435	4,564,622	5,108,212	4,837,902	5,012,718	5,299,578
Available for sale investment	0	0	0	0	0	0
Prepayments	95,971	1,159,815	1,055,927	944,967	660,822	783,500
Total non-current assets	238,727,670	233,864,724	230,448,190	224,779,664	218,402,213	213,087,664
Biological assests	376,439	353,914	265,064	275,416	341,631	380,438
Inventories	195,449,036	180,505,557	189,940,950	203,161,698	214,005,770	230,168,217
Trade and other receivables	25,825,611	33,137,400	34,912,855	37,800,866	38,389,650	39,552,560
Derivative assets	621,780	621,780	621,780	621,780	621,780	621,780
Prepayments	46,568,933	48,597,109	38,630,684	41,743,390	46,332,047	52,180,571
Cash and cash equivalents	37,163,344	77,483,832	91,346,722	106,729,896	128,513,280	153,934,782
Total current assets	306,005,143	340,699,592	355,718,055	390,333,046	428,204,158	476,838,348
Total assets	544,732,813	574,564,316	586,166,244	615,112,711	646,606,371	689,926,012
EQUITY AND LIABILITIES						
Share Capital	2,050,197	2,050,197	2,050,197	2,050,197	2,050,197	2,050,197
Share premium	75,377,444	75,377,444	75,377,444	75,377,444	75,377,444	75,377,444
Fair value reserves	-107,916	-107,916	-107,916	-107,916	-107,916	-107,916
Retained earnings	90,905,674	102,499,460	114,287,521	124,704,506	141,317,319	158,748,558
Equity attributable to owners of the co	168,225,399	179,819,184.7	191,607,245.8	202,024,231.4	218,637,043.7	236,068,282.7
Non-controlling interests	6,388,551	6,388,551	6,388,551	6,388,551	6,388,551	6,388,551
Total equity	174,613,950	186,207,736	197,995,797	208,412,782	225,025,595	242,456,834
Liabilities						
Borrowings	101,764,591	83,155,341	88,535,631	102,189,374	112,547,648	114,125,414
Lease liabilities	14,789,031	11,888,687	13,611,094	15,426,826	15,883,854	16,118,003
Retirement benefit obligation	10,396,790	10,396,790	10,396,790	10,396,790	10,396,790	10,396,790
Deferred income	12,901,940	12,901,940	12,901,940	12,901,940	12,901,940	12,901,940
Deferred tax	16,857,129	16,857,129	16,857,129	16,857,129	16,857,129	16,857,129
Long service award	3,713,272	3,713,272	3,713,272	3,713,272	3,713,272	3,713,272
Total non current liabilities	160,422,753	138,913,158	146,015,856	161,485,331	172,300,632	174,112,548
Trade and other payables	120,152,472	119,868,279	120,643,119	133,628,196	140,459,199	148,389,442
Borrowings	26,913,425	62,851,277	46,138,872	27,256,990	13,851,100	18,791,934
Lease liabilities	1,919,724	1,388,328	1,229,038	1,088,023	963,188	424,079
Deferred income	3,997,200	3,997,200	3,997,200	3,997,200	3,997,200	3,997,200
Derivative liabilities	97,049	97,049	97,049	97,049	97,049	97,049
Current tax	9,481,685	18,314,275	27,122,300	36,220,125	46,985,394	58,729,913
Dividend payables	4,207,541	0	0	0	0	0
Customer deposits	38,926,118	38,926,118	38,926,118	38,926,118	38,926,118	38,926,118
Bank overdraft	4,000,896	4,000,896	4,000,896	4,000,896	4,000,896	4,000,896
Total current liabilities	209,696,110	249,443,422	242,154,592	245,214,598	249,280,144	273,356,630
Total liabilities	370,118,863	388,356,580	388,170,447	406,699,928	421,580,776	447,469,178
Total equity and liabilities	544,732,813	574,564,316	586,166,244	615,112,711	646,606,371	689,926,012
Integrity Check	TRUE	TRUE	TRUE	TRUE	TRUE	TRUE
Absolute Difference	0	0	0	0	0	0

Flour Mills of Nigeria Plc							
Cash Flow (N'000)		2021A	2022E	2023E	2024E	2025E	2026E
<u>Cash from investing activities</u>							
Purchase of PPE	-19,425,792	-28,265,999	-28,692,195	-29,352,146	-28,929,627	-30,955,238	
Proceeds from sale of PPE	546,750	1,507,048	1,459,496	1,193,223	987,172	1,138,738	
Acquisition of ROU	-2,293,325	-1,231,904	-1,922,714	-1,697,284	-1,962,128	-1,976,496	
Acquisition of IA	-19,191	-123,666	-142,509	-175,825	-103,112	-129,654	
Acquisition of Investment property	-4,195	-3,850	-1,743	-2,205	-2,788	-3,526	
Loans repayment from related companies	0	0	0	0	0	0	
Loans granted to related companies	0	0	0	0	0	0	
Proceeds from sale of biological assets	0	0	0	0	0	0	
Purchase of biological assets	-881,472	-539,450	-682,223	-853,662	-729,511	-865,394	
Interest received	3,652,138	1,838,400	1,893,620	2,109,080	2,377,177	2,374,083	
Dividend received	0	0	0	0	0	0	
Net cash flow from investing activities	-18,425,087	-26,819,420	-28,088,267	-28,778,819	-28,362,818	-30,417,487	
<u>Cash flow from financing activities</u>							
Proceeds on share issue	0	0	0	0	0	0	
Proceeds from borrowings	88,503,452	17,328,601	-11,332,115	-5,228,139	-3,047,616	6,518,600	
Repayments of borrowings	-63,292,881	0	0	0	0	0	
Additional investment by NCI	0	0	0	0	0	0	
Consideration paid for acquisition of NCI	0	0	0	0	0	0	
Changes in lease liabilities	-1,740,546	-3,431,740	1,563,117	1,674,717	332,193	-304,960	
Dividend paid	-5,453,991	-16,172,295	-13,961,123	-16,220,867	-13,942,782	-15,179,739	
Unclaimed dividend received	6,494	0	0	0	0	0	
Finance cost paid	-17,373,764	-25,499,392	-24,883,457	-23,237,194	-22,363,047	-23,135,747	
Net cash flow from financing activities	648,764	-27,774,826	-48,613,578	-43,011,482	-39,021,252	-32,101,845	
Net increase/decrease in cash and cash equivalents	12,074,837	40,320,488	13,862,890	15,383,174	21,783,383	25,421,502	
Cash and cash equivalents at the beginning	20,668,446	37,163,344	77,483,832	91,346,722	#####	128,513,280	
Effect of exchange difference	419,166	0	0	0	0	0	
Adjustment	4,000,895						
Cash and cash equivalents as stated In cash flow	33,162,449	0	0	0	0	0	
Cash and cash equivalents at the end of the year as	37,163,344	77,483,832	91,346,722	106,729,896	128,513,280	153,934,782	

Flour Mills of Nigeria Plc							
Income statement (N'000)		2021A	2022E	2023E	2024E	2025E	2026E
Revenue	771,607,880	813,186,838	857,006,324	903,187,073	951,856,323	1,003,148,171	
Cost of sales	664,850,870	714,294,285	753,735,323	795,477,014	834,895,624	878,235,829	
Gross profit	106,757,010	98,892,553	103,271,001	107,710,059	116,960,699	124,912,342	
Net operating losses/gains	-15,528,451	1,352,557	2,196,896	799,991	-123,026,254	-327,122,912	
Write-back/(impairment loss) on tra	2,093,523	0	0	0	0	0	
Selling and distribution expenses	-12,079,534	-11,202,641	-12,422,018	-13,652,518	-14,318,325	-14,863,518	
Administrative expenses	-29,045,821	-30,262,741	-32,252,366	-34,322,985	-36,395,727	-37,864,959	
Operating profit	52,196,727	58,779,728	60,793,512	60,534,547	65,016,377	68,912,634	
Investment income	3,652,138	1,838,400	1,893,620	2,109,080	2,377,177	2,374,083	
Finance cost	-18,655,198	-25,499,392	-24,883,457	-23,237,194	-22,363,047	-23,135,747	
Profit before taxation	37,193,667	35,118,736	37,803,675	39,406,433	45,030,507	48,150,971	
Net income tax expenses	-11,476,744	-11,560,196	-12,054,491	-12,768,581	-14,474,913	-15,539,993	
Profit for the year	25,716,923	23,558,540	25,749,184	26,637,852	30,555,594	32,610,978	
Weighted Average Number of Shares	4,100,394	4,100,394	4,100,394	4,100,394	4,100,394	4,100,394	
Basic Earning per share (kobo)	638	575	628	650	745	795	

8. Free Cash Flow

Free Cash Flow	2021A	2022E	2023E	2024E	2025E	2026E
EBIT	52,196,727	58,779,728	60,793,512	60,534,547	65,016,377	68,912,634
Tax on EBIT	-16,872,590	-19,000,545	-19,651,501	-19,567,790	-21,016,541	-22,276,007
NOPAT	35,324,137	39,779,183	41,142,012	40,966,757	43,999,835	46,636,628
EBITDA	72,453,757	89,116,125	92,738,016	94,600,621	99,647,317	105,054,208
EBITDA Margin	9.39%	10.96%	10.82%	10.47%	10.47%	10.47%
<u>Adjustment:</u>						
Depreciation of PPE	21,837,732	29,130,451	31,236,252	33,210,303	34,070,837	35,366,801
Depreciation of ROU	1,562,814	2,618,697	2,267,520	2,654,709	2,648,970	2,858,689
Amortization of Intangible Assets	403,839	303,387	211,026	175,186	147,173	142,310
Depreciation of Investment Property	104,783	122,263	123,326	134,955	141,137	147,858
Investment income	-3,652,138	-1,838,400	-1,893,620	-2,109,080	-2,377,177	-2,374,083
Balance before working capital adjustment	55,581,167	70,115,580	73,086,516	75,032,831	78,630,775	82,778,202
<u>Working capital Adjustment</u>						
Inventories	-79,852,851	14,943,479	-9,435,392	-13,220,748	-10,844,072	-16,162,447
Trade and other receivables	451,714	-7,311,789	-1,775,455	-2,888,012	-588,784	-1,162,910
Prepayments	-28,274,651	-3,092,020	10,070,312	-3,001,745	-4,304,511	-5,971,203
Trade and other payables	36,538,609	-284,193	774,840	12,985,077	6,831,003	7,930,243
Biological assets	0	22,525	88,850	-10,352	-66,215	-38,807
Cash Balance from Operation	-15,556,012	74,393,583	72,809,670	68,897,051	69,658,195	67,373,078
<u>Capex Adjustment</u>	<u>-22,623,975</u>	<u>-30,164,869</u>	<u>-31,441,384</u>	<u>-32,081,122</u>	<u>-31,727,167</u>	<u>-33,930,308</u>
Purchase of PPE	-19,425,792	-28,265,999	-28,692,195	-29,352,146	-28,929,627	-30,955,238
Purchase of Investment Property	-4,195	-3,850	-1,743	-2,205	-2,788	-3,526
Purchase of Intangible Assets	-19,191	-123,666	-142,509	-175,825	-103,112	-129,654
Purchase of Biological Assets	-881,472	-539,450	-682,223	-853,662	-729,511	-865,394
Purchase of ROU	-2,293,325	-1,231,904	-1,922,714	-1,697,284	-1,962,128	-1,976,496
Free Cash flow to Firm	-38,179,987	44,228,714	41,368,286	36,815,929	37,931,029	33,442,770
Capex Intensity	34.11	26.96	27.26	28.15	30.00	29.56
FCFF Growth	-212.74%	-215.84%	-6.47%	-11.00%	3.03%	-11.83%
Capex Growth	37.83%	33.33%	4.23%	2.03%	-1.10%	6.94%

9. Assumptions

Flour Mills of Nigeria Plc								
Assumptions (N'ooo)	Source	CAGR	2021A	2022E	2023E	2024E	2025E	2026E
Assumption								
Revenue Based on GDP			771,607,880	833,801,357	858,733,096	920,873,709	1,017,139,213	1,116,799,170
Revenue Based on YoY			771,607,880	813,186,838	857,006,324	903,187,073	951,856,323	1,003,148,171
Applied Revenue	Revenue Based on YoY		771,607,880	813,186,838	857,006,324	903,187,073	951,856,323	1,003,148,171
Assumptions Based on GDP	Source	CAGR	2021A	2022E	2023E	2024E	2025E	2026E
Nigeria Population	# United Nations	2.14%	211,401	216,869	222,460	228,184	234,054	240,087
% Population to Global share	% United Nations		2.70%	2.73%	2.76%	2.80%	2.84%	2.88%
Global Population	# United Nations	1.05%	7,829,656	7,958,483	8,071,102	8,163,090	8,229,335	8,335,836
GDP by Expenditure	# CBN/NBS	6.71%	176,075,501,860	190,567,281,346	205,757,058,356	221,245,381,752	240,493,992,752	259,991,352,426
Absolute Difference in GDP by Service Sector contribution to GDP per capita	# Calculationin # CBN/NBS # Refinitiv/NBS	8.08% 4.47%	21,823,182,962 77,100,630,722 832,899	14,491,779,486 94,417,125,777 878,722	15,189,777,011 99,367,113,899 924,918	15,488,323,396 105,199,281,616 969,593	19,248,611,000 113,302,456,005 1,027,516	19,497,359,674 122,865,767,665 1,082,906
% Growth of Nigeria Populatic	% Calculationin		2.55%	2.59%	2.58%	2.57%	2.57%	2.58%
% Growth of Global Populatio	% Calculationin		-1.25%	0.65%	1.14%	0.78%	0.33%	0.73%
% Service Sector to GDP	% Calculationin		43.79%	49.55%	48.29%	47.55%	47.11%	47.26%
% Growth of Gross Domestic Pr	% Calculationin		14.15%	8.23%	7.97%	7.53%	8.70%	8.11%
% Growth of GDP Per capita	% Calculationin		11.31%	8.50%	8.26%	7.83%	8.97%	8.39%
GDP by Expenditure	# CBN/NBS		176,075,501,860	188,246,112,121	201,257,973,735	215,169,235,292	230,042,064,705	245,942,927,026
Applied Growth	8.91%	CAGR	14.15%	6.91%	6.91%	6.91%	6.91%	6.91%
YoY Growth			14.15%	8.03%	7.04%	5.90%	5.90%	4.61%
CAGR			14.15%	6.91%	6.91%	6.91%	6.91%	6.91%
Adjustment to Growth	Yes	2.00%						
Yes		2.00%						
No		0.00%						
Applied GDP	GDP Per Capital		176,075,501,860	190,567,281,346	205,757,058,356	221,245,381,752	240,493,992,752	259,991,352,426

Assumptions based on YoY Growth		Source	CAGR	2021A	2022E	2023E	2024E	2025E	2026E
YoY Based Revenue Share Analysis by Segment									
Food	1	66.01%	57.05%	478,331,803	490,305,416	502,578,753	515,159,316	528,054,796	541,273,077
Agro Allied	2	17.15%	21.72%	139,439,315	155,627,823	173,695,771	193,861,356	216,368,108	241,487,830
Sugar	3	13.30%	17.31%	124,638,085	134,181,042	144,454,659	155,514,879	167,421,928	180,240,645
Support Services	4	3.53%	3.93%	29,198,676	31,117,467	33,162,351	35,341,614	37,664,088	40,139,184
Total		100.00%	100.00%	771,607,879	811,231,748	853,891,533	899,877,165	949,508,920	1,003,140,734
		83.16%		293,276,076					
YoY Based Revenue Growth by Segment				38.01%					
Food		4.78%	2.50%	33.48%	2.50%	2.50%	2.50%	2.50%	2.50%
Agro Allied		15.43%	11.61%	32.22%	11.61%	11.61%	11.61%	11.61%	11.61%
Sugar		10.42%	7.66%	27.66%	7.66%	7.66%	7.66%	7.66%	7.66%
Support Services		23.67%	6.57%	136.87%	6.57%	6.57%	6.57%	6.57%	6.57%
Total			8.03%	34.48%	5.14%	5.26%	5.39%	5.52%	5.65%
Revenue Growth									
Applied Growth rate	Adjusted CAGR	8.79%		34.48%	5.39%	5.39%	5.39%	5.39%	5.39%
CAGR		5.39%							
		8.03%							
Adjusted CAGR		5.39%							
Flex		0.00%							
YoY Based Revenue Segment Share to Total Revenue									
Food		66.48%	57.22%	61.99%	60.44%	58.86%	57.25%	55.61%	53.96%
Agro Allied		17.04%	21.59%	18.07%	19.18%	20.34%	21.54%	22.79%	24.07%
Sugar		16.18%	17.27%	16.15%	16.54%	16.92%	17.28%	17.63%	17.97%
Support Services		3.53%	3.92%	3.78%	3.84%	3.88%	3.93%	3.97%	4.00%
Total		100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%

10. Financial Analysis

Financial Analysis	2021A	2022E	2023E	2024E	2025E	2026E
Income Statement						
Gross Margin	13.84%	12.16%	12.05%	11.93%	12.29%	12.45%
Operating Margin	6.76%	7.23%	7.09%	6.70%	6.83%	6.87%
EBITDA Margin	9.39%	10.96%	10.82%	10.47%	10.47%	10.47%
NetMargin	3.33%	2.90%	3.00%	2.95%	3.21%	3.25%
Tax Ratio	30.86%	32.92%	31.89%	32.40%	32.14%	32.27%
Interest Coverage Ratio	2.80	2.31	2.44	2.61	2.91	2.98
Balance Sheet						
Quick Ratio	0.53	0.64	0.68	0.76	0.86	0.90
Current Ratio	1.46	1.37	1.47	1.59	1.72	1.74
Total Asset Turnover Ratio	1.42	1.42	1.46	1.47	1.47	1.45
Net Asset Turnover Ratio	4.42	4.37	4.33	4.33	4.23	4.14
Capex Intensity	2.93%	3.71%	3.67%	3.55%	3.33%	3.38%
Working Capital Efficiency Ratio						
Days in Period	360	360	360	360	360	360
Inventory Turnover	3x	4x	4x	4x	4x	4x
Inventory Days	106 days	91 days	91 days	92 days	92 days	94 days
Account Receivables Turnover	30x	25x	25x	24x	25x	25x
Account Receivables Days	12 days	15 days	15 days	15 days	15 days	14 days
Payables Turnover	6x	6x	6x	6x	6x	6x
Payables Day	65 days	60 days	58 days	60 days	61 days	61 days
PPE Turnover	4x	4x	4x	5x	5x	5x
Shareholder Ratio						
Dividend Yield	4.28%	12.70%	10.97%	12.74%	10.95%	11.92%
Earnings Per Share	6.27	5.75	6.28	6.50	7.45	7.95
Retention Ratio	78.79%	31.35%	45.78%	39.11%	54.37%	53.45%
Return on Equity	14.73%	12.65%	13.00%	12.78%	13.58%	13.45%
Dividend Coverage	4.72	1.46	1.84	1.64	2.19	2.15
Dividend Pay out	21.21%	68.65%	54.22%	60.89%	45.63%	46.55%
Return on Total Asset	4.72%	4.10%	4.39%	4.33%	4.73%	4.73%
Dividend Per Share	1.33	3.94	3.40	3.96	3.40	3.70
Leverage Ratio						
Debt to Total Asset	23.62%	25.41%	22.98%	21.04%	19.55%	19.27%
Debt to Total Capital	38.03%	36.92%	35.74%	34.55%	33.65%	32.72%
Debt to Equity	73.69%	78.41%	68.02%	62.11%	56.17%	54.82%
Interest Coverage	2.80x	2.31x	2.44x	2.61x	2.91x	2.98x

11. Valuation

Flour Mills of Nigeria Plc Valuation (N'000)	
Target Price	51.72
Upside	66.56%
52 Weeks High	35.10
52 Weeks Low	28.00
10 Year High	75.20
10 Year Low	13.50

Cost of Capital	Forecast Horizon	Terminal Horizon
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Active Premise

Mature Market Perspective

Applied Cost of Equity	25.13%	17.26%
<u>Domestic Market Perspective</u>	25.07%	17.26%
Risk free Rate - 10 yr FGN Bond	FMDQ 12.1493 2%	11.52%

Beta	0.83	1
Stock Regression (1Y)	0.83	25%
Blume adj. Beta	0.88	25%
Comparables Method	0.79	25%
Refinitiv	0.83	25%

Risk Premium	12.01%	4.24%
Historical ERP	8.33%	50.00%
Damodaran	9.68%	50.00%
Alpha	3.00%	1.50%

Condition

Domestic Market Perspective
Mature Market Perspective

<u>Mature Market Perspective</u>	25.13%
US Risk-free rate	World AA+ Rating
Inflation differential	7.23%
Nigeria inflation	NBS
US inflation	Trading Economic
Rating-based default spread	Damodaran
Naira Risk Free rate	14.06%
Beta	0.83
Market Risk Premium	4.24%
CRP	5.44%
Alfa	3.00%

Cost of Debt	Forecast Horizon	Terminal Horizon
Market cost of debt	24.00%	15.76%
FGN Bond of Similar Maturity/Longest TTM	FMDQ 16.2499 1%	11.52%
Risk premium	6.65%	4.24%
Commercial bond premium	FMDQ	1.19%
Default Spread = B- to B+ and C to CCC+	Damodaran	5.47%
Liquidity premium	Calculation	4.94%
Tax	32.00%	32.00%
After-tax cost of debt	16.32%	10.72%

Commercial Bond Risk premium

Source: FMDQ

Issuer	Risk premium	Status	Financial	Nonfinancial	Tenor
FCMB LIMITED	1.36%	Financial	1.36%	0.00%	7
DANGOTE CEMENT PLC	2.84%	Nonfinancial	0.00%	2.84%	5
UNION BANK OF NIGERIA PLC	1.42%	Financial	1.42%	0.00%	6
WEMA FUNDING SPV PLC	3.78%	Financial	3.78%	0.00%	6
ACCESS BANK PLC	2.94%	Financial	2.94%	0.00%	6
VIATHAN FUNDING PLC	1.00%	Nonfinancial	0.00%	1.00%	10
CERPAC RECEIVABLES FUNDING SPV PLC	3.29%	Nonfinancial	0.00%	3.29%	7
UNION BANK OF NIGERIA PLC	3.35%	Financial	3.35%	0.00%	10
*NMRC	1.00%	Nonfinancial	0.00%	1.00%	15
*NMRC	1.00%	Nonfinancial	0.00%	1.00%	15
NSP-SPV POWERCORP PLC	1.56%	Nonfinancial	0.00%	1.56%	15
Average	2.14%		1.17%	0.97%	67
Average Bond Yield	1.66%		0.00%	1.19%	

1.40%

Liquidity Spread

On the run: Newest FGN LT Bond issue	DMO/FN 12.50% FGN J	4.96%
Off the run: Oldest LT FGN Bond issue	FMDQ 12.75% 14-AP	10.14%

Weighted Average Cost of Capital

	Forecast	Terminal
Cost of Equity	25.13%	17.26%
Weight of Equity	57.16%	35.00%
Cost of Debt	16.32%	10.72%
Weight of Debt	42.84%	65.00%
Debt	134,530,538	
Equity	179,465,371	
Total	313,995,909	

Active Premise

Applied Growth Rate

Long term nominal GDP growth

Long term real GDP growth rate

Long term inflation

Sustainable Growth Rate

Retention Ratio

Dividend Pay Out

Return on Equity

Equity

Earnings

Dividend

Condition

Long term nominal GDP growth

Sustainable Growth Rate

Long term nominal GDP growth

	11.52%
	11.52%
Refinitiv	3.02%
Trading Economics	8.50%
	11.60%
	78.79%
	21.21%
	14.73%
	174,613,950
	25,716,923
	5,453,991

Assumptions

Discount Rate	21.35%
Perpetual Growth Rate	11.52%
Transaction Date	30 Mar 2021
Fiscal Year End	31 Mar 2021
Current Price	31.05
Shares Outstanding	4,100,394
Market Value	127,317,234
Minority Interest	6,388,551

Discounted Cash Flow	Entry						Exit
Date	30 Mar 2021	31 Mar 2022	31 Mar 2023	31 Mar 2024	31 Mar 2025	31 Mar 2026	31 Mar 2026
Time periods		1	2	3	4	5	6
Year frac.		1.0	1.0	1.0	1.0	1.0	1.0
FCFF		44,228,714	41,368,286	36,815,929	37,931,029	33,442,770	679,212,294
Transaction Free Cash Flow -269,619,261		44,228,714	41,368,286	36,815,929	37,931,029	33,442,770	679,212,294
IRR of Free Cash Flow	31.22%						

Terminal Value

EV/EBITDA	1,116,877,405
Perp. Growth	487,987,210
Average	679,212,294

Market Value

Market Cap	127,317,234
Plus: Debt	179,465,371
Less: Cash	37,163,344
Enterprise Value	269,619,261

DCF - Intrinsic Value

Enterprise Value	452,967,264
Plus: Cash	37,163,344
Less: Debt	179,465,371
Less: Minority Interest	6,388,551
Equity Value	304,276,685
Equity Value/Share	74.21
Upside	138.99%

Dividend Discount Model	Entry						Exit
Date	30 Mar 2021	31 Mar 2022	31 Mar 2023	31 Mar 2024	31 Mar 2025	31 Mar 2026	31 Mar 2026
Time periods		1	2	3	4	5	6
Year frac.		1.0	1.0	1.0	1.0	1.0	1.0
Cash Flow		16,172,295	13,961,123	16,220,867	13,942,782	15,179,739	171,901,890
Historical Growth in dividend	12.92%						
Applied Growth	7.75%						
Average Dividend	15,095,361						
Equity Value	121,073,089						
Equity Value/Share	29.53						
Upside	-4.90%						

Intrinsic Valuation Method **42.24**

Discounted Cash Flow 74.21

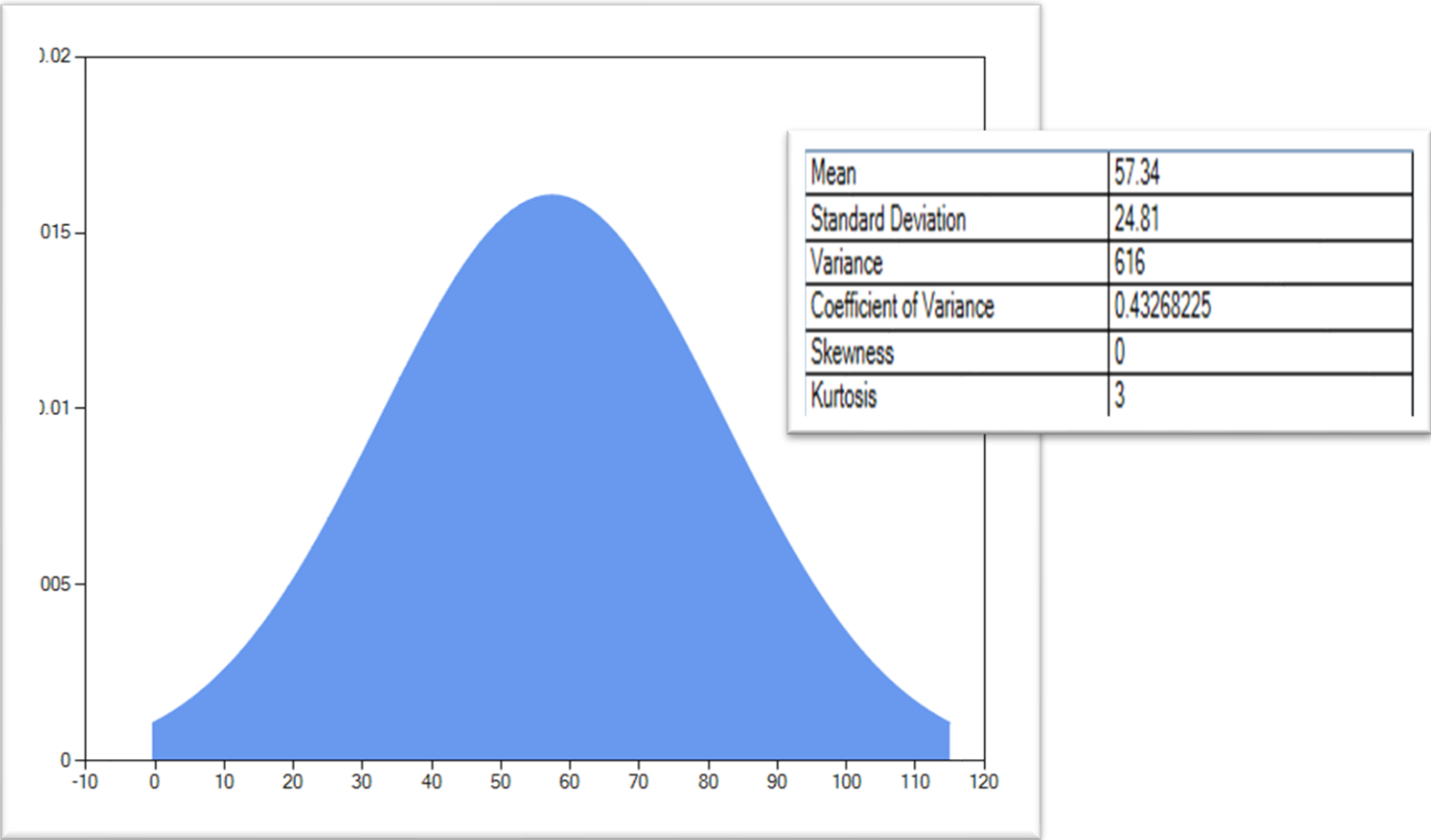
Dividend Discount Model 29.53

Comparables

Flour Mills of Nigeria Plc		
Comparables		
Exchange rate		416
Comps Multiples Summary		
EV/EBITDA multiple -USD		
EBITDA		68.61
EV/EBITDA multiple		10.48x
Enterprise Value		718.90
Cash		97.66
Debt		392.56
Minority Interest		16.79
Equity value		407.21
Shares outstanding		4,100.40
Implied Value per share		0.10
Implied Value per share -NGN		41.31
EV/Sales multiple -USD		
Revenue		2,058.69
EV/Revenue multiple		0.83x
Enterprise Value		1,717.73
Cash		97.66
Debt		392.56
Minority Interest		16.79
Equity value		1,406.04
Shares outstanding		4,100.40
Implied Value per share		0.34
Implied Value per share -NGN		142.65
P/E Multiple -USD		
Earnings Per Share		0.02
P/E Multiple		15.24x
Implied Value per share		0.26
Implied Value per share -NGN		106.10
Comparables Average		
EV /EBITDA	0.00%	41.31
EV /Sales	0.00%	142.65
P/E Ratio	0.00%	106.10
Implied Value per share -NGN	0.00%	73.82

Operating Statistics (USD'million):																			
Company Name	Status	Sticker	Industry Country	Share Price	Share Outstanding	Equity Capitalization	Debt	Cash	Enterprise Value	Revenue FY2021	EBITDA FY2021	Net Income FY2021	EV/EBITDA Trailing 12 Months	EV/Sales	P/E Ratio	Beta - Levered (5 year monthly)	Debt/Equity	Tax Rate	Unlevered Beta
Domestic Market																			
Dangote Flour Mill	Private		Food Proces Nigeria																
			Food Proces Nigeria																
BUA Foods	listed		Food Proces Nigeria	0.1	18,000.0	2,520.0	311.9	147.1	2,684.8	836.1	249.5	188.4	10.8	3.2	13.4	N/A	126.16%	30.00%	0
JosePADAM	Private		Food Proces Nigeria																
OLAM	Delisted		Food Proces Nigeria																
Confluence	Private		Food Proces Nigeria																
Dangote sugar Refinery	listed		Food Proces Nigeria	0.0	12,150.0	486.0	9.5	155.3	340.2	603.3	149.3	83.8	2.3	0.6	5.8	1.3	120.80%	35.10%	0.7
Emerging Market																			
Universal Robina Corp	listed		Food Proces Philippine	2.3	2,190.4	5,125.6	360.8	342.6	5,143.8	2,375.4	386.3	265.2	13.3	2.2	19.3	1.1	16.70%	10.70%	0.9
SPC SAMLIP CO LTD	listed		Food Proces South Korea	75.9	8.1	615.2	451.0	16.3	1,049.9	2,576.7	137.6	35.4	7.6	0.4	17.4	0.7	159.90%	23.20%	0.3
VIETNAM DAIRY PRODUCTS JSC	listed		Food Proces Vietnam	3.4	2,089.6	7,062.8	414.4	1,024.1	6,453.1	2,656.4	615.9	463.3	10.5	2.4	15.2	0.7	26.30%	17.70%	0.6
SAMYANG HOLDINGS CORP	listed		Food Proces South Korea	68.9	7.4	512.3	1,094.8	631.8	975.3	2,717.2	387.6	239.7	2.5	0.4	2.1	1.2	53.60%	20.50%	0.8
Om an Flour mills	listed		Food Proces Om an	1.9	157.5	294.5	128.1	44.4	378.2	253.0	25.5	12.3	14.8	1.5	23.9	0.6	66.60%	20.30%	0.4
MALAYAN FLOUR MILLS BHD	listed		Food Proces Malaysia	0.2	1,019.7	152.9	297.6	128.4	322.2	586.0	30.3	15.3	10.6	0.5	10.0	0.8	91.70%	36.10%	0.5
TIGER BRANDS LTD	listed		Food Proces South Afri	1,034.0	1.8	1,851.3	37.6	143.3	1,745.6	2,092.1	205.7	98.4	8.5	0.8	18.8	0.3	3.60%	29.00%	0.3
Maximum				1,034.0	18,000.0	7,062.8	1,094.8	1,024.1	6,453.1	2,717.2	615.9	463.3	14.8	3.2	23.9	1.3	159.90%	36.10%	0.92
75th Percentile				68.9	2,190.4	2,520.0	414.4	342.6	2,684.8	2,576.7	386.3	239.7	10.8	2.2	18.8	1.1	120.80%	30.00%	0.70
Median				2.3	1,019.7	615.2	311.9	147.1	1,049.9	2,092.1	205.7	98.4	10.5	0.6	15.2	0.7	66.60%	23.20%	0.52
25th Percentile				0.2	8.1	486.0	128.1	128.4	378.2	603.3	137.6	35.4	7.6	0.5	10.0	0.7	26.30%	20.30%	0.33
Minimum				0.0	1.8	152.9	9.5	16.3	322.2	253.0	25.5	12.3	2.3	0.4	2.1	0.3	3.60%	10.70%	0.00
Flour Mills of Nigeria Plc				0.1	4,100.4	299.3	392.6	97.7	594.2	2,058.7	252.4	68.6	10.5	0.8	15.2	0.8	74.96%	32.00%	0.52

12. Monte Carlo Simulation



13. Fair Value Measurement (IFRS 13) Russia-Ukraine War

RUSSIAN-UKRAINE WAR IMPACT ON VALUATION

The war in Ukraine has significantly affected individuals, economic activity, and financial markets on a global scale. The war and the sanctions imposed have led to a steep jump in commodity prices (mainly energy, metals, and agricultural commodities) and supply chain disruptions. Consequently, it is not only companies with operations (or assets) in Russia, Belarus, or Ukraine, or those trading with counterparties in these countries, that have been significantly affected. Other companies may be indirectly affected by commodity price inflation, shortages in supplies, and a weaker economic environment – e.g. the automotive, food manufacturing, agriculture, and transportation sectors.

Fair value is a market-based measurement – it is measured using assumptions that market participants would use. Determining fair value in these circumstances has become more challenging due to the higher uncertainty and elevated risks.

For reporting periods ending after 24 February 2022 (the date Russia invaded Ukraine), the war is a current-period event that should be reflected in determining the fair value of assets (and liabilities) such as debt and equity securities and investment property, or when testing cash-generating units for impairment using fair value less costs of disposal. Because fair value is a market-based measurement (i.e. it is measured using assumptions that market participants would use), this will become more challenging due to greater risks and uncertainty.

The recent events may have had a significant impact on the following risks.

- **Country risk:** A premium that takes into account the additional risk associated with generating and incurring cash flows in a particular country (e.g. Russia, Ukraine).
- **Forecasting risk:** Fair value measurements should reflect the greater uncertainty in making economic and financial forecasts in the near term, due to the difficulty in forecasting the magnitude of the impact of the war and sanctions imposed.
- **Illiquidity risk:** An additional premium that takes into account the difficulty of being able to sell an investment.

KPMG 2022

[Ukraine-Russia conflict – What are the implications for - KPMG Belgium \(home.kpmg\)](#)

US Wheat Futures Price



Russia-Ukraine war has become a major challenge that is being faced by Flour Millers. US Wheat Futures as of March 2020 was \$ 567.75 per bushel, as the global economy expanded after the pandemic restrictive measures, the global wheat price jumped by 35.76% by the end of 2021 to \$770.75 per bushel. The disruption from Russia and Ukraine as two leading wheat suppliers compounded this upsurge as the price skyrocketed by 93.13% as of April 2022 to \$1,096.50 per bushel compared to what it was in March 2022. Correspondingly, local prices for wheat staples have also increased coupled with a direct response to local domestic economic fundamentals like inflation and foreign exchange. With a population of more than 200 million (the most populous in Africa), we are positive about Nigeria's Flour Milling industry's growth potential as current consumption is still low at 5 million metric tonnes when compared to other African and emerging market countries: EGYPT – 21 million, Algeria – 11.3 million, Morocco – 10.7 million and India – 104 million.

For the fact that the market has not accounted for the full impact of the Russia-Ukraine war yet, we applied an alpha of 3% in the computation of our cost of equity.

14. Sensitivity Analysis

		Stable Growth Rate						
		2.52%	5.52%	8.52%	11.52%	13.52%	15.52%	17.52%
WACC	9.23%	95.84	109.09	126.21	117.63	130.26	145.71	165.05
	14.23%	77.92	88.99	103.30	96.13	106.68	119.60	135.77
	19.23%	63.39	72.72	84.78	78.74	87.63	98.51	112.13
	24.23%	51.51	59.42	69.65	64.53	72.07	81.30	92.86
	29.23%	41.71	48.46	57.20	52.83	59.27	67.15	77.02

		Stable Growth Rate						
		8.52%	9.52%	10.52%	11.52%	12.52%	13.52%	14.52%
Cost of Equity	15.13%	45.38	50.63	57.85	68.40	85.28	116.60	194.80
	20.13%	39.54	43.97	50.06	58.96	73.19	99.61	165.58
	25.13%	34.76	38.53	43.70	51.26	63.35	85.79	141.82
	30.13%	30.82	34.03	38.45	44.91	55.25	74.43	122.33
	35.13%	27.53	30.29	34.10	39.65	48.54	65.04	106.23

15. Disclaimer

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